Aggregate Consequences of Relationship Dynamics in Trade*

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Abstract

Most trade takes place in buyer–seller relationships that both expand gradually over time and use future surplus to sustain trade when formal enforcement is limited. We study how these relationship dynamics affect aggregate adjustment to trade shocks. Using rich firm-to-firm transactions data from India, we document that: (i) trade within a typical relationship doubles in value over its first two years, (ii) this gradual expansion is stable across the firm size, age, and product experience distributions, and (iii) relationships start meaningfully closer to maturity in states where contract enforcement is stronger. To study the aggregate consequences of these micro-level features, we develop a dynamic multi-state general-equilibrium model that embeds optimal relational contracts within a tractable Ricardian framework. Following a trade shock, adjustment is gradual because firms must build new supplier relationships, while changes in future surplus endogenously reshape the contracts supporting existing and new relationships. We estimate the model using the firm-to-firm data and use it to study the dynamics of the transition following a reduction in interstate trade costs calibrated to a major 2017 Indian economic integration reform. The short-run change in trade is only around half of the long-run change, despite the liberalization-induced loss of future surplus constraining existing own-state relationships.

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1 Introduction

Most trade takes place within long-term buyer-seller relationships that are valuable because of both past experience and the expectation of future business. These relationship dynamics shape how firms respond to changes in trade costs. First, a buyer that has accumulated years of experience with its supplier may prefer to retain this supplier despite cheaper alternatives becoming available, and those that do switch must build new relationships from scratch. Second, even among firms that prefer to retain their incumbent supplier, the presence of cheaper alternatives may itself weaken the implicit promise of future business needed to sustain trade when contracts are hard to enforcement. Yet, despite growing evidence on the importance of these micro-level relationship dynamics, we know comparatively little about how they shape the aggregate response to changes in trade costs, in part because it is challenging to incorporate them into workhorse quantitative trade models.

In this paper, we develop a quantitative trade model that incorporates relationship dynamics, establish new empirical facts using rich microdata from India about the scope of relationship dynamics and how they relate to contract enforcement, and quantify how these relationships shape the aggregate response to changes in trade costs. The model features relationship-specific learning that generates gradual buildup over the course of a relationship, and relational contracts in which the prospect of continued business provides incentives to honor current obligations. We show that these features can be incorporated tractably into a multi-location, multi-sector general equilibrium Ricardian model due to a property that we call scale equivariance. We use data covering the universe of domestic firm-to-firm sales over nine years for all sellers registered in a large Indian state to show that the proportional buildup of trade is remarkably similar across firm characteristics and experience, but varies with the quality of the destination state's contract enforcement. Finally, we estimate the model using the microdata and study the transition path following a reduction in interstate trade costs calibrated to a major Indian domestic integration reform.

In the first part of the paper, we develop a dynamic Ricardian trade model that incorporates relationship-specific learning and optimal relational contracts between buyers and sellers. The aggregate environment follows the standard multi-location, multi-sector framework of Eaton and Kortum (2002) and Caliendo and Parro (2015), in which each location has a Frechet-distributed productivity draw for every good and production combines labor and intermediate inputs. We depart from this framework by introducing specialized importers that, for each good, choose which origin to source from and then match with an individual supplier in the chosen origin. Trade therefore takes place within buyer-seller relationships rather than spot transactions.

Within each relationship, the buyer and seller face two frictions. First, the match has some probability of being commercially unsuitable, in which case any given shipment may fail to meet the buyer's requirements with an exogenous probability. Both parties learn about this pair-specific suitability through repeat transactions and update their beliefs using Bayes' Rule. As successful

transactions accumulate, beliefs of commercial suitability improve, and the buyer wants to increase their order size. Relationships therefore create *history-dependence* that will affect how the buyer responds when trade costs change. Second, there is a hold-up problem: after the seller has incurred production and shipment costs, the buyer can attempt to avoid payment, in which case the seller can only recover a fraction through courts. To sustain payment in equilibrium, the contract must satisfy a Dynamic Incentive Compatibility Constraint (DICC): the future value of the relationship must exceed the one-off gain from hold-up. The optimal order size is therefore the minimum of the quantity implied by current beliefs about suitability and the quantity that the DICC can sustain. Relationships therefore also create *future-dependence*: if changes in trade costs improve the outside option, they tighten the DICC today.

These frictions jointly generate relationship dynamics. Learning causes quantity traded to grow as a relationship ages and make older relationships more valuable. Imperfect contract enforcement can amplify this buildup of trade—when the quantity that is feasible under the DICC is less than the quantity implied by current beliefs—particularly in early stages when the relationship is less valuable. The extent to which the DICC binds depends on the strength of contract enforcement. Importers therefore choose the origin to source from based on the expected discounted profits from these relationships, rather than simply choosing the origin with the lowest marginal cost. Relationships break up from time to time, when realizations reveal commercial unsuitability or when the good exogenously becomes obsolete, which creates a cross-sectional distribution of relationship ages.

A challenge is that embedding these micro-level features into a quantitative trade model with heterogeneous productivity draws would appear to require solving a dynamic contracting problem at every value of productivity. We show that this can be substantially simplified through a property of the optimal contract that we call *scale equivariance*. In particular, the age profile of a relationship expressed in proportional terms is the same for all values of productivity. More productive sellers of course sell more in absolute terms than less productive sellers, but the ratio of trade early in a relationship to trade late in a relationship does not vary with productivity. Intuitively, doubling productivity simply doubles the value traded at each age. This property follows from the fact that demand is homothetic and both production costs and the DICC are linear in productivity. Thus, we need only solve a suitably normalized contracting problem, rather than a separate problem for every productivity draw.

Importantly, scale equivariance continues to hold when aggregate economic conditions change over time. The same property implies that the normalized contract depends on anticipated future changes in wages, input prices, and demand, but not on their absolute levels. This allows us to separate the microeconomic contracting problem from the productivity heterogeneity and aggregate economic variables that characterize the Ricardian model, while still allowing contracts to respond endogenously to changes in future surplus that occur in general equilibrium on the transition path following a trade shock. We also show that this property is not specific to relational

contracting: the same scaling logic applies to a broad class of microeconomic mechanisms commonly studied in trade, including models of learning about demand, acquiring customer capital, and investing in physical capital, which implies that under a generalization of our aggregation result these mechanisms can be incorporated tractably into quantitative trade models.

Combining scale equivariance with Frechet-distributed productivity allows us to tractably aggregate the micro-level relationship dynamics into closed-form expressions for aggregate bilateral trade flows. In steady state, the choice of origin is analogous to the minimum cost rule in Eaton and Kortum (2002), but with the cost shifted by an extensive margin wedge that reflects any origin-specific features of the learning and contracting problems. Aggregate trade shares follow a standard gravity equation with two wedges: the extensive margin wedge described above, and an intensive margin wedge capturing the average quantity distortion across relationships of different ages. Despite the rich microeconomic dynamics, the long-run trade elasticity remains constant and equal to the Frechet shape parameter, and comparisons between steady states can be calculated using the standard exact hat algebra method of Dekle et al. (2008).

The transition path to the new steady state following a change in trade costs highlights the two dynamic implications of relationships. First, importers enter the transition with existing suppliers and accumulated relationship-specific value. Some therefore prefer to retain their incumbent supplier even though a different origin would be optimal if they were choosing from scratch, and importers that do switch must start new relationships that require building up. This slows the reallocation of trade towards newly attractive origins. Second, when an alternative origin becomes cheaper, the value of an incumbent relationship falls relative to the outside option. This tightens the DICC, which reduces contractible quantity and can lead to the relationship to break down altogether. The second mechanism can therefore partly offset the slow adjustment generated by relationship-specific learning, as well as generate anticipatory responses to future changes in economic conditions.

We show that the transition path can also be aggregated and computed in relative changes. The complication relative to the steady state is that the decision to retain an incumbent supplier, and the contract governing that retention, depends on the value of the incumbent relationship relative to a potentially new alternative origin. Scale equivariance implies that, up to the contracting wedges that govern the extensive margin, this reduces to aggregating over the ratio of the pre-shock best origin's productivity draw to the the post-shock best origin's productivity draw. We show that an additional property of the Frechet distribution makes this tractable. In particular, conditional on the identity of the pre-shock best origin, this ratio follows a Lomax distribution that depends only on the pre-shock trade shares and relative changes in aggregate variables between post- and pre-shock. Together with scale equivariance, this allows for closed-form aggregation over the heterogeneous productivity draws, and to solve the general equilibrium transition path using exact hat algebra.

In the second part of the paper, we use rich microdata from India to discipline the model and

to establish two new empirical facts about relationship dynamics. Our main dataset covers the universe of domestic firm-to-firm sales by firm registered for value-added taxes in a large Indian state, including sales to buyers in all other states, from 2017 through 2026. We complement this with shipment-level data that includes quantities and product codes. The consistent tax identifiers allow us to track buyer-seller relationships over a nine-year period and to examine how their development varies with the characteristics and prior experience of both parties.

We begin by measuring key features of relationship dynamics that have been documented in recent literature but are important to discipline the parameters of the model. Relationships take time to build: among long-lasting relationships, the value traded starts at around half of its long-run level, expands gradually over around eight quarters, and becomes stationary thereafter. Our shipment-level data shows this growth is almost entirely driven by growth in quantity, with little change in unit prices. We also show that the probability that a given relationship trades again is strongly increasing in relationship age, eventually reaching a mature survival rate of around 95%. We use the value growth curve in the estimation of the learning and contracting parameters, and the mature survival rate to calibrate the model's exogenous breakup probability.

We then present two new empirical facts about relationship dynamics, both of which are important for our model but also are of interest in their own right. First, to empirically investigate the scale equivariance property that the model predicts, we test whether the value growth curve varies systematically with firm characteristics and experience. We find that the proportional buildup of trade within a relationship is remarkably similar across buyer and seller firm size, firm age, location experience, and product experience. The absolute value of trade of course varies along these margins—for example, larger firms buy and sell more than smaller firms—but the ratio of trade early in a relationship to trade late in a relationship is nearly identical. This provides empirical support for the separability between the scale of trade and relationship dynamics, and suggests that a common proportional relationship age profile is a reasonable approximation across a broad range of firms. More generally, it is relevant for distinguishing between theories of why this relationship growth occurs: for example, models of learning about destination-specific characteristics predict that relationships where the seller has prior destination experience should start closer to their mature value, which we do not observe.

The second new empirical fact concerns how the relationship value growth curve varies with local contract enforcement. This provides identifying variation for the contracting parameter in the model, but also provides direct reduced form evidence as to one mechanism that contributes to the need for relationships to start small. We exploit differences in court congestion across across destination states, following Boehm and Oberfield (2020) in using the age of the relevant high court as an instrument. We find that early transactions are meaningfully closer to their mature level when enforcement is stronger. This is consistent with the model's prediction that stronger enforcement relaxes the DICC and permits greater trade earlier in a relationship.

In the third part of the paper, we use the value growth curve and its variation across enforcement

environments to estimate the learning and contracting parameters jointly. We assume that the two parameters governing learning about commercial suitability are common across origins, destinations, and sectors, and impose a two-parameter logit relationship between court congestion and a destination-specific enforcement parameter. Intuitively, in the model, value traded at a given age is the minimum of the learning-implied value and the maximum value supportable under the DICC. Learning therefore generates a underlying pattern of relationship value growth that is common across destinations, while differences in enforcement affect the extent to which the DICC constrains value at different ages.

To quantify the aggregate importance of these relationship dynamics for trade adjustment, we combine these estimates with a new India-wide matrix of bilateral state by sector trade flows and a standard input-output matrix and household expenditure data to calibrate an economy with 20 locations and 15 sectors. As lowering domestic trade costs has been a major policy goal of the Government of India in recent years (the same is also true of trade costs within the European Union), we construct a counterfactual based on one such flagship policy: the 2017 Goods and Services Tax (GST) Reform. This removed an explicit 2% tariff on interstate trade and greatly reduced trucking delays at state borders. Using estimates of the reduction in border delays from Barnwal et al. (2024), we calibrate a state-pair level reduction in technological bilateral trade costs of around 5% on average, leaving own-state trade costs unchanged. Since our India-wide aggregate trade are from after the reform, we interpret this as a counterfactual integration reform of comparable structure and magnitude, rather than an estimate of the historical effects of the GST reform itself.

In addition to computing the transition path under the full model, we also compute a version where we take an agnostic stance on the mechanism driving relationship buildup, holding the normalized relationship wedges fixed at their pre-shock values and allowing for violations of the post-shock DICC. This allows us to distinguish the role of accumulated experience in relationships (history dependence) from the additional effect of changes in future surplus (future dependence).

We find that relationship dynamics have important effects on the speed of trade adjustment. On impact, the trade elasticity under the full model is 3.08, roughly halfway between the intensive margin elasticity of 2 and the long-run elasticity of 4. The response is therefore meaningfully smaller initially, consistent with recent evidence showing that short-run elasticities are lower than long-run elasticities (Boehm et al., 2023). The prediction that relationships will lead to retaining incumbent suppliers even as they become less competitive is borne out in the results: among the importers that would switch origin in a static model (and do switch in the long-run here), 61% choose to retain their incumbent supplier.

At the same time, the endogenous response of contracts accelerates adjustment. In the version with fixed relationship growth wedges, the impact elasticity is instead 2.78, and 79% of importers retain their incumbent suppliers. Allowing contracts to respond to the new economic environment therefore causes more importers to switch immediately, as the loss in future surplus relative to the outside option weakens incentives needed to sustain some relationships. The full model reaches

90% of the long-run trade elasticity after 9 quarters, as opposed to 20 quarters when wedges are fixed. Thus, similar pre-shock relationship profiles and the same long-run elasticity can generate different transition paths, depending on the microeconomic mechanisms that govern the relationship dynamics.

This paper contributes to four literatures. The first concerns firm and relationship dynamics in trade. Much of this literature studies firms' entry into and growth in export markets, emphasizing sunk costs, learning about destination-specific features, and customer accumulation (Das et al., 2007; Berman et al., 2019; Fitzgerald et al., 2024). A smaller literature studies the dynamics of buyer-seller relationships directly and documents within-relationship build-up (Antras and Foley, 2015; Monarch and Schmidt-Eisenlohr, 2023; Heise, 2024; Brugués, 2026). On the empirical side, we extend this evidence by showing that this buildup is remarkably similar across several dimensions of heterogeneity—which both simplifies modelling and is inconsistent with some theories of these dynamics—and that it varies with destination-side contract enforcement, complementing Araujo et al. (2016) who find a similar result for entry into country-level export markets. On the theoretical side, Monarch and Schmidt-Eisenlohr (2023) and Eaton et al. (2025) develop two-location models of relationship dynamics and (Fontaine et al., 2023; Grossman et al., 2024; Eaton et al., 2026) study firm-to-firm trade through the lens of search and matching. Our contribution is to develop a tractable multi-location, multi-sector general equilibrium model that can evaluate transition paths using the exact hat algebra method of Dekle et al. (2008) that features endogenous relationship dynamics, allowing us to quantify how relationships affect transitions following changes in trade costs.

Second, we contribute to the growing literature that introduces dynamics to workhorse quantitative trade models (Caliendo et al., 2019; Kleinman et al., 2023; Chen et al., 2026; Kleinman et al., 2026). While this literature has developed tractable frameworks for studying dynamic adjustment through labor mobility, capital accumulation, and supplier choice, it has largely abstracted from the intensive margin dynamics of individual buyer-seller relationships. We fill in this gap and show that these relationship dynamics are quantitatively relevant for trade adjustment.[1] We also contribute methodologically: we identify a property that we call scale equivariance that many common dynamic microeconomic models satisfy that permits for tractable aggregation to study aggregate consequences. We show in Appendix B that this includes models of learning, accumulation of customer capital, and investment in physical capital.

Third, we contribute to the literature on contracting frictions in trade (Antràs, 2003; Nunn, 2007; Boehm and Oberfield, 2020; Chor and Ma, 2025). This literature has shown how imperfect contract enforcement shapes comparative advantage, sourcing decisions, and the organization of production in static models and settings. However, contracting frictions have an important dynamic

[1] Perhaps the closest paper to ours is Chen et al. (2026), who develop a Ricardian model with no within-relationship dynamics but where importers can only switch to a new supplier when a Calvo-style shock occurs, thereby generating slow adjustment to changes in trade costs. Our model studies within-relationship dynamics and generates endogenous switching as a function of accumulated within-relationship value.

component: a long literature, dating back to Klein and Leffler (1981), has emphasized that the prospect of future relationship rents can substitute for formal contract enforcement by disciplining behavior today. We incorporate these contracting dynamics into a workhorse quantitative trade model, which allows us to study how they affect trade adjustment.

Finally, we contribute to an empirical literature on relational contracting (Macchiavello and Morjaria, 2015; Blouin and Macchiavello, 2019; Macchiavello and Morjaria, 2021; Harris and Nguyen, 2025). By focusing on unique markets where contracts are either directly observable or there is unusually clean variation in outside options, this literature has convincingly shown the importance of future business in sustaining trade when formal contract enforcement is weak. We study the aggregate implications of this well-established microeconomic phenomenon, using rich firm-to-firm transaction data and variation across space in contract enforcement to estimate the model.

2 Model

In this section, we develop a quantitative general equilibrium Ricardian model featuring relationship dynamics. The aggregate environment follows the standard multi-location, multi-sector framework of Eaton and Kortum (2002) and Caliendo and Parro (2015). A micro-level environment features relationship-specific learning and optimal relational contracts, and show that aggregation remains tractable due to a property that we call scale equivariance.

2.1 Environment

There are D locations, indexed o for origin and d for destination, and S sectors, indexed j or k. Time t is discrete with common discount factor β.

2.1.1 Sectoral Composites

In each destination d, there is a competitive CES aggregator associated with each sector j that combines a unit mass of sector j varieties with elasticity $\sigma_j > 1$ to produce a sectoral composite good $Q_{d,j,t}$:

$$Q_{d,j,t} = \left(\int_0^1 q_{d,j,t}(\omega)^{\frac{\sigma_j - 1}{\sigma_j}} d\omega \right)^{\frac{\sigma_j}{\sigma_j - 1}}. \tag{1}$$

These composite goods are used both in final consumption and as intermediates in downstream production of individual varieties. The aggregator buys each variety from a specialized importer at price $p_{d,j,t}(\omega)$. Standard expenditure minimization implies the price index for one unit of $Q_{d,j,t}$ satisfies $P_{d,j,t}^{1-\sigma} = \int_0^1 p_{d,j,t}(\omega)^{1-\sigma_j} d\omega$, and we write $E_{d,j,t} \equiv P_{d,j,t} Q_{d,j,t}$ as total expenditure on sector j composites in destination d. The aggregator's inverse demand curve for a particular variety ω is $p_{d,j,t}(\omega) = \nu_{d,j,t} q_{d,j,t}(\omega)^{-1/\sigma_j}$, where $\nu_{d,j,t}$ is a destination-sector demand shifter given by $\nu_{d,j,t}^{\sigma} = E_{d,j,t} P_{d,j,t}^{\sigma_j - 1}$.

2.1.2 Production

Consider a given variety ω in sector j. Every origin o is capable of producing this variety, with idiosyncratic origin-sector productivity $z_{o,j}(\omega)$ drawn from Frechet$(1, \theta_j)$. Production combines labor and the composite goods in (1) from each sector used as intermediates with a Cobb-Douglas production function. The marginal cost for origin o to produce and deliver a sector-j good ω to destination d, denoted $c_{od,j,t}(\omega)$, is given by

$$c_{od,j,t}(\omega) = \frac{\tau_{od,j,t}}{z_{o,j}(\omega)} \left(w_{o,t}^{\gamma_j} \prod_{k=1}^{S} \left(P_{o,k,t}\right)^{\gamma_{k,j}} \right), \tag{2}$$

where τ_{od} are bilateral cost shifters, w_o is the wage in o, $\gamma_{k,j}$ is the cost share of the sector-k composite good used as an intermediate in the production of sector j, and $\gamma_j = 1 - \sum_k \gamma_{k,j}$ is the labor cost share. We will often refer to $c_{o,j,t} \equiv \left(w_{o,t}^{\gamma_j} \prod_{k=1}^{S} \left(P_{o,k,t}\right)^{\gamma_{k,j}} \right)$ as the input bundle unit cost and $\kappa_{od,j,t} \equiv \tau_{od,j,t} c_{o,j,t}$ as the component of marginal cost common across goods. Marginal cost can therefore be written as $c_{od,j,t}(\omega) = \kappa_{od,j,t}/z_{o,j}(\omega)$.

2.1.3 Households

There is a mass L_d of households in each destination d who supply labor and constitute final demand. Households have Cobb-Douglas utility over the sectoral composite goods with expenditure share on sector j denoted $\alpha_{d,j}$. Formally, let $C_{d,j,t}$ denote consumption of the sector-j composite in destination d. Total consumption and the consumer price index are therefore given by

$$C_{d,t} = \prod_{j=1}^{S} \left(\frac{C_{d,j,t}}{\alpha_{d,j}} \right)^{\alpha_{d,j}}, \qquad P_{d,t}^{C} = \prod_{j} P_{d,j,t}^{\alpha_{d,j}}. \tag{3}$$

Final expenditure satisfies $P_{d,j,t} C_{d,j,t} = \alpha_{d,j} I_{d,t}$, where $I_{d,t}$ is the consumer's income. Any profits are rebated lump-sum to consumers in the location of the firm that earns them.

2.1.4 Importers

For every destination-sector-variety (d, j, ω), there is a unique importer. The importer selects the origin o to source the good from that maximizes expected discounted profits—described in more detail shortly—and sells it to the relevant sectoral aggregator at price $p_{d,j,t}(\omega)$. Importers compete monopolistically across ω, taking the common demand shifter $\nu_{d,j,t}$ as given, and earn revenue $\nu_{d,j,t} q_{d,j,t}(\omega)^{(\sigma_j - 1)/\sigma_j}$.

2.1.5 Supplier Relationships

An importer that has selected an origin o is matched at random with an individual supplier in o. Within each origin-sector-variety (o, j, ω), there is an infinite pool of *ex ante* identical suppliers, all of whom have access to the production technology in (2). We refer to the number of periods

that a match has transacted as the age of the relationship, $a \in \{0, 1, 2, ...\}$. Relationships can end in two ways. First, at the end of any period, either party can terminate the relationship. If this happens, the importer matches with a new supplier in o. Second, at the end of every period, a share $1 - \delta$ of goods become obsolete and are replaced by new goods. If this happens, a new vector of productivities is drawn at the start of the next period, $\{z_{o,j}(\omega)\}_o$, and the importer selects an origin o to source from at the start of the next period.

2.2 Contracting

After matching, a given importer-supplier ("buyer-seller") pair play a dynamic contracting game. Throughout this subsection, we suppress indices for origin, destination, sector, and variety (these enter through the marginal cost $c_{odj,t}(\omega)$ and the demand shifter ν_{djt}).

A given match is commercially unsuitable with probability μ, independent of all other characteristics. If a match is unsuitable, after delivery in each period the good becomes worthless with probability $1-\lambda$ (it is incompatible with the CES aggregator's technology); if the match is suitable, the corresponding probability is 0. Neither party can observe directly whether a match is suitable, but both update their beliefs using Bayes' Rule based on prior realizations within the relationship. After a successful realizations, the posterior probability that the match is unsuitable is

$$\mu_a = \frac{\mu\lambda^a}{1 - \mu + \mu\lambda^a}, \tag{4}$$

and the probability of a successful transaction is $p_a \equiv 1 - \mu_a + \mu_a\lambda$. All else equal, relationships with more successful prior realizations are more valuable, with $\mu_a \to 0$ and $p_a \to 1$ as $a \to \infty$. As it will be optimal for the buyer to exit the relationship if a bad realization occurs, age is a sufficient state for suitability.

Within each period, the parties face a standard hold-up problem. First, the buyer orders quantity $q_{a,t}$ and promises payment $x_{a,t}$. Second, the seller produces and ships the good at cost $c_t q_{a,t}$. We assume that production and shipment are verifiable before the goods have arrived (e.g., through a third-party logistics provider), but that commercial suitability is not. Third, after production and shipment are sunk, the buyer can attempt to renegotiate the promised payment downwards, which for simplicity we model as attempted nonpayment. If the buyer does so, the seller can recover a fraction $1 - \xi$ through the legal process, where $\xi \in [0, 1]$ captures the weakness of formal contract enforcement, which may vary by origin, destination, or sector. Finally, the realization occurs.

We consider Perfect Public Equilibria supported by grim-trigger strategies: the relationship terminates permanently if the buyer attempts nonpayment. Let $V^b_{a,t}$ denote the buyer's continuation value in a relationship of age a in period t, given by

$$V^b_{a,t} = p_a \nu_t q_{a,t}^{(\sigma-1)/\sigma} - x_{a,t} + \beta\delta \left(p_a V^b_{a+1,t+1} + (1 - p_a) V^{b,\text{out}}_{t+1} \right), \tag{5}$$

where $V_{t+1}^{b,\text{out}}$ is the buyer's outside option. The outside option is given by the value of starting a new relationship, which may be in the same origin or a different origin. In any equilibrium in which the buyer repays, a Dynamic Incentive Compatibility Condition (DICC) must hold:

$$\xi x_{a,t} \leq \beta\delta p_a(V_{a+1,t+1}^{b} - V_{t+1}^{b,\text{out}}). \tag{6}$$

Intuitively, the left hand side is the one-time gain the buyer can earn from nonpayment, and the right hand side is the expected future value gained from preserving this relationship into age $a+1$ relative to starting fresh with a new supplier. If the outside option is to remain in the same origin, $V_{t+1}^{b,\text{out}} = V_{0,t+1}^{b}$. The DICC shows that strong formal enforcement (low ξ) and high future rents (high $V_{a+1,t+1}^{b}$) are substitutes in sustaining trade.

Optimal Contract The buyer makes a take-it-or-leave-it offer at the start of the match, which is a sequence $(q_a, x_a)_{a=0}^{\infty}$, that maximizes their expected discounted profits subject to satisfying (6) and the seller at least breaking even ($x_{a,t} \geq c_t q_{a,t}$) every period.[2] It is straightforward to observe that the optimal payment satisfies $x_{a,t} = c_t q_{a,t}$: paying the supplier more would both lower the buyer's discounted profits and tighten the DICC. The contracting problem therefore reduces to choosing quantities. Absent the DICC, the buyer would choose $q_a^{\text{learn}} = (((\sigma-1)/\sigma) \cdot p_a \nu / c)^{\sigma}$. The DICC, however, imposes an upper bound on contractible quantity. Combining the DICC with $x_{a,t} = c_t q_{a,t}$ therefore yields

$$q_{a,t} = \min\left\{ \underbrace{\left(\frac{\sigma-1}{\sigma}\frac{p_a \nu_t}{c_t}\right)^{\sigma}}_{q_{a,t}^{\text{learn}}}, \underbrace{\frac{\beta\delta p_a(V_{a+1,t+1}^{b} - V_{t+1}^{b,\text{out}})}{\xi c_t}}_{q_{a,t}^{\text{DICC}}} \right\}. \tag{7}$$

Equation (7) shows that trade is distorted downwards by the two frictions. First, uncertainty about commercial suitability ($p_a < 1$) lowers desired quantity. Second, weak contract enforcement ($\xi > 0$) means that quantity may be constrained by the surplus available in the relationship.

For a given value of the outside option, $\tilde{V}_{t+1}^{b,\text{out}}$, the solution can be obtained recursively using (5) and (7). The terminal condition is the limiting case where $p_a = 1$. In this limiting case, if the continuation value from playing $q_{\infty}^{\text{learn}}$ every period satisfies the DICC, this is the solution; otherwise, it is the largest value of q such that playing q every period satisfies the DICC. If the contracting friction is sufficiently severe, or the outside option is sufficiently high, there may be no such q, in which case trade is not feasible. Indeed, long-run contractible quantity does not smoothly decline all the way from first-best to zero as one increases the outside option: it declines initially, but at some point drops discontinuously to zero. Intuitively, reducing (stationary) quantity lowers the

[2] We let the buyer choose the contract as allowing the seller to do so would cause the price to decline substantially with relationship age (as it is optimal for incentives to backload the buyer's rents), which is contrary to our finding in the data of a near flat price profile.

temptation but also lowers the discounted sum of future profits, while the outside option remains fixed. Importantly, this can occur even though the buyer prefers this relationship to their outside option: it may be that $\xi x_{\infty,t+1}/(\beta\delta) > V^b_{\infty,t+1} - V^{b,\text{out}}_{t+1} > 0$. A strong enough outside option can therefore cause a relationship to break down even though both parties would prefer to keep trading. In the case where the environment is stationary and the outside option is to remain in the same origin, equilibrium is the fixed point at which the assumed value of the outside option, $\tilde{V}^{b,\text{out}}$, equals the value of a new relationship implied by backwards induction, V^b_0.

2.3 Scale Equivariance

While the solution to the contracting model described in Section 2.2 must be computed numerically, it has an important property that substantially simplifies incorporating it into a quantitative trade model: optimal contracts are *scale equivariant*. In particular, while varieties differ by productivity $z_{o,j}(\omega)$ and fundamentals $\nu_{d,j,t}$ and $\kappa_{od,j,t}$, these differences affect the absolute scale of quantities and value traded but not the proportional dynamics of a relationship. This means that we need only solve a suitably normalized contracting problem and then scale the normalized solution, rather solve separate problems for all possible values of productivity and fundamentals. This allows us to separate the microeconomic contracting problem from the underlying productivity heterogeneity and general equilibrium variables that characterize quantitative trade models.

Recall that the marginal cost of supplying variety ω from origin o to destination d in sector j is $c_{od,j,t}(\omega) = \kappa_{od,j,t}/z_{o,j}(\omega)$. The following proposition establishes that the solutions to the contracting problem can be expressed entirely as a frictionless solution multiplied by age-specific shifters.

Proposition 1 (Scale Equivariance of Relational Contracts)**.** *Consider the contracting problem described in Section 2.2. Assume the buyer's outside option is always to re-match with a new supplier in origin o. Then, for each relationship age a, there exist scalars $\phi^q_{a,odj,t}, \phi^x_{a,odj,t}, \phi^V_{a,odj,t}$ such that*

$$\begin{aligned} q_{a,odj,t}(\omega) &= z_{o,j}(\omega)^\sigma \nu^\sigma_{djt} \kappa^{-\sigma}_{odjt} \phi^q_{a,odj,t} \\ x_{a,odj,t}(\omega) &= z_{o,j}(\omega)^{\sigma-1} \nu^\sigma_{djt} \kappa^{1-\sigma}_{odjt} \phi^x_{a,odj,t} \\ V^b_{a,odj,t}(\omega) &= z_{o,j}(\omega)^{\sigma-1} \nu^\sigma_{djt} \kappa^{1-\sigma}_{odjt} \phi^V_{a,odj,t}. \end{aligned}$$

The scalars $\phi^q_{a,odj,t}, \phi^x_{a,odj,t}, \phi^V_{a,odj,t}$ depend on odj only through any odj-specific contracting features through t only through changes relative changes over time in aggregate conditions $\nu_{d,j,t}$ and $\kappa_{od,j,t}$.

All proofs are available in Appendix A. This proposition states it is sufficient to solve a suitably normalized version of the contracting problem that depends only on the contracting and learning parameters, relationship age, and the anticipated future evolution of aggregate economic conditions. Crucially, the solution does not depend on the absolute levels of productivity, demand, or costs.

The intuition is straightforward. CES revenue is homothetic, production costs are linear, and the

constraints do not depend on scale. Increasing productivity by a factor $k > 0$ therefore increases $x_{a,t}$ and V_a^b by a factor $k^{\sigma-1}$, which leaves (6) and the supplier breakeven constraint unchanged and scales the objective function by $k^{\sigma-1}$, which implies that the transformed contract remains feasible and optimal.[3] More productive varieties trade larger quantities and values, but, after normalizing by their productivity, the contracting policies are identical. In a stationary environment, these normalized contracting policies depend only on age (the sufficient state) and any odj-specific learning and contracting parameters. We explore this prediction empirically in Section 3, where the richness of the microdata allows us to examine whether the proportional build-up varies systematically with several important aspects of firm heterogeneity.

Scale equivariance continues to hold even when aggregate conditions evolve over time. To see this, suppose $\nu_{odj,t}$ and $\kappa_{odj,t}$ vary over time, and consider the DICC between calendar periods t and $t+1$. Substituting the solutions from Proposition 1 into (6) gives

$$\xi \phi^x_{a,odj,t} \leq \underbrace{\left(\frac{\nu_{dj,t+1}}{\nu_{dj,t}}\right)^{\sigma}}_{\hat{\nu}^{\sigma}_{d,j,t}} \underbrace{\left(\frac{\kappa_{odj,t+1}}{\kappa_{odj,t}}\right)^{1-\sigma}}_{\hat{\kappa}^{1-\sigma}_{odj,t}} \beta\delta p_a \left(\phi^V_{a+1,odj,t+1} - \phi^V_{0,odj,t+1}\right). \tag{8}$$

The same substitutions can be done in the objective function and the seller's breakeven constraint. The normalized contracting policies, $\{(\phi^q_{a,odj,t}, \phi^x_{a,odj,t}, \phi^V_{a,odj,t})\}$ therefore depend on aggregate economic conditions only through their relative changes over time. This property is important for the analysis of trade shocks, as general equilibrium forces will cause future wages, prices, and demand shifters to change. Indeed, because continuation values are forward-looking, the contracting solution will generally depend on the entire future path of these aggregate economic conditions. Nevertheless, the normalized policies can be computed without needing to know the absolute levels of these variables, which means they are amenable to the standard "exact hat algebra" approach of Dekle et al. (2008).

Beyond relational contracts. The tractability provided by scale equivariance is not specific to the contracting model studied here. The key property is that differences in productivity or economic conditions change the scale of a microeconomic problem but not the trade-offs governing optimal behavior once the problem is suitably normalized. This property arises in a variety of dynamic models with state variables used in trade, including models of learning about demand (Berman et al., 2019), acquiring customer capital (Fitzgerald et al., 2024), dynamic screening (Brugués, 2026), learning about counterparty types (Monarch and Schmidt-Eisenlohr, 2023), inventory management (Chen, 2025), and physical capital accumulation. Although the economic mechanisms differ

[3] Perhaps the most intuitive way to see this is to inspect Equation (7). Consider doubling both c_t and ν_t for all t, and conjecture that the continuation value, $V^b_{a,t}$, also doubles at every age. It can then immediately be seen that the optimal schedule of $q_{a,t}$ is unchanged. As $x_{a,t} = cq_{a,t}$, and $V^b_{a,t}$ is simply the expected infinite sum of the stage payoff $p_a \nu_t q_{a,t}^{(\sigma-1)/\sigma} - c_t q_{a,t}$, this then implies that the stage payoff doubles for all ages. As the state transition probabilities are unchanged, it then follows that the conjecture that $V^b_{a,t}$ doubles for all ages is verified.

substantially, the microeconomic problems can be expressed in terms of normalized policies that depend on the relevant state—such as beliefs, capital, or inventories—rather than separately on productivity or aggregate economic conditions.

The broader implication is that a number of microeconomic mechanisms can be incorporated into quantitative trade models without the need to track the joint distribution of productivity and state variables of the microeconomic problem. When trade flows at the micro-level are proportional to a common productivity term, aggregate trade depends only on the (productivity-weighted) distribution of the state variables. If the evolution of the state variables does not depend on productivity, and the extensive margin origin-choice decision admits tractable aggregation, then the resulting model can be solved in relative changes.[4] We discuss this more general implication in Appendix B. We next show how this approach delivers tractable aggregation and transition paths for our relational contracting model.

2.3.1 Aggregation and Market Clearing

Aggregate bilateral trade flows are simply the sum of the payments $x_{a,odj,t}(\omega)$ over all goods ω. Let $a_{d,j,t}(\omega)$ denote the age of the relationship for which d sources the sector-j good ω at time t, and let $o_{d,j,t}(\omega)$ denote the origin that it sources the good from. Then, aggregate trade flows are given by

$$X_{odj,t} \equiv \int_0^1 x_{a_{djt}(\omega),odj,t}(\omega) 1\{o_{odj,t}(\omega) = o\} d\omega. \tag{9}$$

Similarly, let $c_{a,odj,t}(\omega)$ denote the total cost incurred by a supplier in o of good ω selling to destination d in a relationship of age a. Then, total expenditure by producers is given by

$$Y_{oj,t} \equiv \sum_d \int_0^1 c_{a_{djt}(\omega),odj,t}(\omega) 1\{o_{odj,t}(\omega) = o\} d\omega. \tag{10}$$

We assume that trade is balanced, so labor market clearing in each origin implies

$$w_{o,t} L_o = \sum_j \gamma_j Y_{oj,t}. \tag{11}$$

2.4 Steady State

We first study how the dynamic contracting friction affects trade in steady state. The fact that the contracting model satisfies scale equivariance allows us to tractably aggregate across the hetero-

[4] One might suppose that scale equivariance generically fails in the presence of fixed costs. This is not the case. The result in Proposition 1 that the continuation value scales is stronger than needed in general because the extensive margin structure that we use in this paper is based on the Frechet distribution, which requires multiplicative scaling of value functions for aggregation. However, with the Melitz (2003)-Pareto extensive margin structure typically associated with fixed costs, it is sufficient that the post-entry operating problem (that determines the intensive margin, $x_{s,odj,t}(\omega)$) is scale equivariant. Various forms of fixed costs, such as market-entry costs, search costs, or customer setup costs that determine cutoffs can all be incorporated and aggregated analytically as in the static model.

geneous productivity draws while retaining the implications of relationship dynamics.

In steady state, destination d chooses to buy variety ω from the origin o that maximizes $V^b_{0,odj}(\omega)$. Consider a shifted marginal cost, $\tilde{c}_{odj} \equiv c_{odj}(\omega)/(\phi^V_{0,odj})^{1/(\sigma-1)}$. Then, Proposition 1 implies that the chosen origin is simply the origin with the minimum shifted marginal cost, $\arg\min_o \tilde{c}_{odj}(\omega)$. Thus, although origin choice depends on the expected discounted value of a dynamic relationship, scale equivariance makes it equivalent to the familiar minimum-cost sourcing rule of Eaton and Kortum (2002), with delivered marginal cost adjusted by an endogenous origin-specific scalar that summarizes how contracting frictions influence the attractiveness of a given origin.

On the equilibrium path, relationships only end through unsuccessful suitability realizations or exogenous obsolescence. The stationary distribution of relationship ages therefore satisfies $s_{a,odj} = \delta p_{a-1} s_{a-1,odj}$ for $a \geq 1$, with $\sum_a s_{a,odj} = 1$. The following proposition provides the steady state trade shares.

Proposition 2 (Steady State Trade Shares)**.** *In steady state, the share of destination d's total expenditure on sector j allocated to origin o is*

$$\pi^{SS}_{odj} = \frac{\kappa^{-\theta}_{odj} \bar{\phi}^{ext}_{odj} \bar{\phi}^{int}_{odj}}{\sum_m \kappa^{-\theta}_{mdj} \bar{\phi}^{ext}_{mdj} \bar{\phi}^{int}_{mdj}}, \tag{12}$$

where $\bar{\phi}^{ext}_{odj} \equiv \left(\phi^V_{0,odj}\right)^{\theta/(\sigma-1)-1}$ *and* $\bar{\phi}^{int}_{odj} \equiv \sum_{a=0}^{\infty} s_{a,odj} \phi^x_{a,odj}$.

Proposition 2 shows that the dynamic contracting frictions enter as aggregate wedges in an otherwise-standard gravity equation. The first wedge, $\bar{\phi}^{\text{ext}}_{odj}$, is an extensive shifter: d prefers to select origins with lower contracting frictions. The second wedge, $\bar{\phi}^{\text{int}}_{odj}$, is an intensive margin shifter: the contracting friction causes d to buy less from a given origin, and the aggregate wedge is simply the age-specific payment wedge, $\{\phi^x_{a,odj}\}_a$, averaged over the stationary distribution of relationship ages. The wedges are functions only of the underlying contracting model and do not depend on any aggregate economic variables, such as τ_{odj} or w_o.

The intuition for why scale equivariance permits tractable aggregation can be easily seen by examining the aggregation explicitly. Substituting the solutions from Proposition 1 into (9) gives

$$X_{odj} = \sum_a s_{a,odj} \phi^x_{a,odj} \int_0^1 x^{FB}_{odj}(\omega) 1\{\tilde{c}^{FB}_{odj}(\omega) = \arg\min_m \tilde{c}^{FB}_{mdj}(\omega)\} d\omega, \tag{13}$$

where FB refers to the value that would obtain under a frictionless version of the model ($\mu = \xi = 0$). The intensive margin term inside the integral, $x^{FB}_{odj}(\omega)$, is identical to what obtains in the Eaton and Kortum (2002) case; the extensive margin term is also identical, with marginal cost simply shifted by an origin-specific scalar. Aggregation therefore follows standard Frechet derivations.

The gravity structure in (12) has two immediate implications. First, the long-run trade elasticity, $-\partial \ln(\pi^{SS}_{odj}/\pi^{SS}_{ddj})/\partial \ln \tau_{odj}$, holding other equilibrium variables fixed, is given by θ. Thus, despite the rich microeconomic dynamics, Frechet-distributed productivity still generates a constant elas-

ticity. Second, if a counterfactual changes trade costs and aggregate economic conditions but leaves the underlying contracting parameters unchanged, then the contracting wedges are identical across steady states. Long-run counterfactuals can therefore be calculated using the standard exact hat algebra approach (Dekle et al., 2008), without requiring knowledge of the levels of the contracting wedges. More broadly, this illustrates that the constant (long-run) elasticity implied by Frechet-distributed heterogeneity in quantitative trade models continues to hold even as one incorporates rich microeconomic features, so long as those microeconomic features satisfy scale equivariance.

2.5 Transition Path

We now turn to the transition path between steady states following a change in trade costs. Suppose that the economy is initially in steady state and, in period $\bar{t}$, it is announced that there is an unanticipated, permanent change in a subset of bilateral trade costs, $\tau_{od} \to \tau'_{od}$ for some od starting in some period $\bar{t} + s$ for $s \geq 0$ ($s > 0$ covers the case of an announcement of a future policy change). We interpret the shock as an MIT shock, meaning that agents do not foresee it but thereafter have perfect foresight of the path of aggregate economic variables as the economy adjusts to its new steady state.[5] We show that, although the adjustment involves both the endogenous formation and dissolution of relationships and changes in optimal contracts, the entire transition can be computed in relative changes.

History dependence. The first of the two main dynamic mechanisms that this model contains relative to the frictionless Eaton and Kortum (2002) benchmark is that importers enter the transition with existing supplier relationships. In particular, importers have accumulated relationship-specific value, and may prefer to retain their incumbent supplier even when another origin has become more attractive. Consider an importer in a relationship of age a with an incumbent supplier in origin i. Let $b_{djt}(\omega) \equiv \arg_m \max V^b_{0,mdj,t}(\omega)$ denote the origin that this importer would choose in period t if starting a new relationship. At the moment of the shock in $\bar{t}$, this importer retains its incumbent supplier if $V^b_{a,idj,\bar{t}}(\omega) \geq V^b_{0,b_{dj\bar{t}}(\omega)dj,\bar{t}}(\omega)$.

For an importer whose existing origin remains the best choice ($b_{dj\bar{t}}(\omega) = i$), retaining the incumbent relationship is always optimal as value is increasing in relationship age. Otherwise, the decision depends on whether the gains from switching outweigh the value accumulated in the existing relationship. We can therefore partition incumbent relationships into three regions: (i) those for which the incumbent origin remains the best choice; (ii) those for which another origin is preferred for a new relationship, but the importer retains its incumbent supplier; and (iii) those for which the importer switches to a new origin and begins a relationship at age zero. Both the second and third region generate gradual adjustment: firms in the third region must build new relationships

[5] Recent work studying dynamic contracts in the presence of aggregate shocks has shown that a coherent and tractable way to incorporate unanticipated shocks into the contract is to allow agents to anticipate the shock occurring with probability p and study the limiting case as $p \to 0$ (Beraldi, 2025; Donald et al., 2025).

from scratch with low initial quantities, and firms in the second region will delay switching until the relationship breaks up exogenously (and then also must build a new relationship when they do eventually switch).

Future dependence. The second dynamic mechanism operates through the forward-looking nature of relational contracts. Consider an importer that retains its incumbent supplier. The shock changes not only current trade costs, but also future trade costs, and therefore lowers the future surplus available to sustain repayment. In particular, the DICC for a retained relationship becomes

$$\xi x_{a,odj,t}(\omega) \leq \beta\delta p_a \left(V^b_{a+1,odj,t+1}(\omega) - V^b_{0,b_{djt}(\omega)dj,t+1}(\omega) \right). \tag{14}$$

The change in trade costs causes $V^b_{a+1,odj,t+1}(\omega)$ to fall relative to the outside option, $V^b_{0,b_{djt}(\omega)dj,t+1}(\omega)$. This tightens the DICC, which reduces the contractible quantity in retained relationships and may cause otherwise profitable retained relationships to break down altogether. This can accelerate the transition relative to a model that contains only the history dependent force, as well as generate anticipatory responses to future changes in economic conditions.

Characterizing the change in outside option. We can characterize the partition into the three regions, as well as how the change in outside option affects the contracts with retained incumbents, as follows. Define the ratio of the fresh-start value in the origin of the incumbent, i, to the fresh-start value in the new best origin, $b_{dj\bar{t}}(\omega)$, as

$$r_{idj,t}(\omega) \equiv \frac{V^b_{0,idj,t}(\omega)}{V^b_{0,b_{dj\bar{t}(\omega)}dj,t}(\omega)} \in (0,1]. \tag{15}$$

Region (i), where the existing origin remains the best, is the case where $r_{idj,t}(\omega) = 1$. There will in general be an age-dependent cutoff $R_{a,ib_{dj\bar{t}}(\omega)dj}$ such that firms with $r_{idj,t}(\omega) \in (R_{a,ib_{dj\bar{t}}(\omega)dj}, 1)$ will retain their incumbent supplier (Region (ii)), while firms with $r_{idj,t}(\omega) \leq R_{a,ib_{dj\bar{t}}(\omega)dj}$ will switch (Region (iii)). For the retained incumbents, we can use (15) to substitute out the outside option in (14), which restores scale equivariance up to the ratio r and the identity of the best new origin b. The adjustment of retained contracts therefore differs across varieties in an intuitive way with wedges taking the form $\phi^{x,\text{region 2}}_{a,idj,t}(r,b)$: a lower ratio r means the outside option is more attractive and the contract is further distorted, and the identity b determines how that relative attractiveness varies over time.

Aggregation. The dynamic mechanisms complicate aggregation relative to the steady state as the three region structure means that we need to integrate not only over the distribution of the minimum (ϕ^V-adjusted) cost but also over the distribution of the ratio of the pre-shock minimum to post-shock minimum, $r_{idj,t}(\omega)$. Nevertheless, two features of the model make this tractable. First, scale equivariance means that, while contracts may depend on (r,b), they still do not de-

pend on the absolute value of productivity or of the aggregate economic variables. Second, the memorylessness property of the Exponential distribution means that Frechet-distributed productivity permits closed-form aggregation over the ratio $r_{idj,t}(\omega)$ after conditioning on the importer's pre-shock origin choice.[6]

We can decompose bilateral trade at each post-shock date into payments from pre-shock relationships (Regions (i) and (ii)) and payments to relationships formed after the shock (Region (iii) and varieties that became obsolete after the shock). Computing the transition path therefore requires tracking the evolution of the (productivity-weighted) distribution of relationship ages across these groups from the initial period of the shock, $\bar{t}$, through to eventual convergence to the steady state. The following proposition establishes that this can be done entirely in relative changes.

Proposition 3 (Transition Path in Relative Changes)**.** *Denote relative changes in variable x_t as $\hat{x}_t \equiv x_t/x_{t-1}$. Consider an unanticipated shock announced in period $\bar{t}$ in relative changes to trade costs in an economy initially in steady state. For a given path of general equilibrium variables expressed in relative changes, $(\hat{w}_{o,t}, \hat{\nu}_{djt}, \hat{P}_{djt})$, values for steady state trade shares, $\{\pi_{odj}\}$, and values for the parameters $(\beta, \delta, \sigma, \theta, \{\gamma\}, \mu, \lambda, \{\xi\})$, the path of aggregate bilateral trade flows, $\{\pi_{odj,\bar{t}+s}\}$ for $s \geq 0$, can be calculated without reference to the levels of bilateral trade shifters $\{\tau_{odj}\}$ or of the general equilibrium variables.*

The explicit characterization of the equations governing the transition path in relative changes are presented in Appendix A. The core conceptual result is that the combination of scale equivariance and the statistical relationship between the pre-shock minimum cost and the post-shock minimum cost implied by Frechet-distributed productivity allows the exact hat algebra approach of Dekle et al. (2008) to be used to calculate the transition path, so the researcher does not need to specify the levels of aggregate economic fundamentals or general equilibrium objects.

Computing the equilibrium transition. Our algorithm to solve for the path of general equilibrium variables in relative changes is similar to that of Caliendo et al. (2019). We assume that the economy reaches the new steady state after a finite number of periods, T. We first conjecture a path of wages, price indices, and demand shifters. Given this path, we solve the contracting problems, determine which incumbent relationships are retained, and iterate forward the distribution of relationship ages. This determines bilateral trade flows, sectoral expenditure, and input demand at every date. We then check if all markets clear and update the conjectured path if they do not.

The transition path features the two dynamic mechanisms described above: history dependence through the distribution of incumbent relationships, and future dependence through anticipated changes in future surplus affecting optimal contracts in the present. In the quantitative analysis,

[6] A related use of the statistical relationship between the price in the lowest cost origin and the price in other origins under Frechet draws appears in Bernard et al. (2003), where the second-lowest cost determines pricing under Bertrand competition. Here, the ratio of the pre-shock lowest cost to the post-shock lowest cost determines supplier retention and contract adjustment. The post-shock lowest cost need not have been the pre-shock second-lowest; the general property of memorylessness goes beyond the second order statistic.

we separate these two mechanisms by comparing the full model with a counterfactual in which the (normalized) wedges induced by the contracting friction are held fixed at their pre-shock values, allowing for violations of the DICC.

3 Empirical Evidence

In this section, we use rich firm-to-firm transaction data from India to measure two aspects of relationship development that play an important role in empirically disciplining the model, and establish two new empirical facts about relationship dynamics that are both pertinent to our model and of interest in their own right.

3.1 Data and Measurement

Our data consists of administrative records of firm-to-firm transactions from India's Goods and Services Tax (GST) system, obtained from a large Indian state whose population exceeds 100 million. Our main dataset is GSTR-1 filings, which report the universe of domestic firm-to-firm sales by firms registered in the study state, includings sales to buyers in other states. The data identify the buyer and seller, invoice date, transaction value, and cover July 2017 through June 2026. We restrict our analysis to transactions involving the 25 largest states by GDP.

We define a relationship as a directed seller-buyer pair and aggregate transactions to the relationship by calendar-quarter level. We define relationship age as the number of prior quarters in which the relationship recorded positive trade.[7] As we cannot measure relationship age for relationships that existed prior to July 2017, we restrict analysis to July 2018 onwards and exclude all pairs that traded in the initial July 2017-June 2018 window, unless otherwise specified.

We complement the GSTR-1 records with data from India's e-way bill system, for which we observe the universe of bills whether either the seller or buyer is registered in the study state. Introduced in April 2018, firms are required to file an e-way bill for shipments of goods that exceed a value threshold (around USD 500). In addition to recording buyer and seller identifiers and the shipment date, e-way bills record the value, quantity, and product code for each product in the shipment.[8] This allows us to separate quantity from price dynamics, and to construct firm-level product histories. However, e-way bills only cover goods and shipments above the threshold. We therefore use the GSTR-1 data for most analysis, and use the e-way bill data when quantities, unit prices, or product codes are required.

[7] In practice, most relationships (by value and count) trade in every quarter while the relationship is active, so the treatment of gaps has little quantitative effect on our results.

[8] The granularity of the product codes varies across firms and over time, as reporting thresholds and requirements have changed over time. For most analysis involving unit prices or product histories, we restrict the data to a subset of sellers that consistently report 8-digit HSN product codes.

3.2 Quantity and Survival Rates Grow with Relationship Age

The model features quantity and value traded growing over the length of a relationship, $\phi^x_{0,odj} < \phi^x_{1,odj} < \phi^x_{2,odj} < \ldots$, as well as the probability of trading again increasing in relationship age as pairs become more certain of commercial suitability, $p_0 < p_1 < p_2 < \ldots$. While this pattern has been documented empirically by the recent literature studying firm-to-firm relationship dynamics (Monarch and Schmidt-Eisenlohr, 2023; Heise, 2024; Brugués, 2026), we reproduce them in our data as they are important for how we estimate the model and our novel results below build on them.

First, relationships take time to grow. To estimate this, we restrict analysis to pairs that trade in more than 12 quarters. This restriction lets us compare early and mature trade within continuing relationships without mechanically changing the sample through early exit. The resulting sample in the GSTR-1 data contains 1.74 million relationships.

Let y_{sbt} be the total value sold by seller s to buyer b in calendar quarter t. Similarly, let Age_{sbt} be the number of times seller s has sold to buyer b prior to calendar quarter t, and C_{sb} be the first calendar quarter in which this pair trades (i.e., its cohort). We estimate the following specification:

$$\log y_{sbt} = \sum_{c} \sum_{a=1}^{11} \beta_{a,c} 1\{\text{Age}_{sbt} = a, C_{sb} = c\} + \gamma_{sb} + \gamma_{d(b)t} + \gamma_{j(s)t} + \varepsilon_{sbt}, \tag{16}$$

where γ_{bs} are relationship fixed effects, $\gamma_{d(b)t}$ are fixed effects for calendar quarter by state of the buyer, and $\gamma_{j(s)t}$ are fixed effects for calendar quarter by 4-digit HSN sector of the seller. We explicitly allow for the profile to vary by cohort C_{sb} as the literature on dynamic difference-in-differences has highlighted that the coefficients from regressions of the form in (16) that impose a single coefficient for each age can be biased in the presence of heterogeneity by cohort (Sun and Abraham, 2021). The coefficient $\beta_{a,c}$ represents the average value traded in a relationship of age a in cohort c relative to that relationship's long-run value. We then aggregate these cohort-level age profiles using cohort relationship shares to obtain an aggregate age profile, and report $\exp(\hat{\beta}_a)$, which can be interpreted as the share of the long-run value.

The results are in Panel (a) of Figure 1. The typical relationship reaches a mature steady state after around eight quarters, and starts at just under half of this mature value. Using the e-way bill data to separate value into quantity and price dynamics, we find that the growth in value is entirely driven by growth in quantity.[9] In fact, there is a small decrease in prices in the order of 2%. The sign and magnitude of quantity growth is consistent with prior research. The magnitude of price dynamics varies substantially in the literature: Monarch and Schmidt-Eisenlohr (2023) find price declines in US imports in the order of 30%, while both Brugués (2026) and Fontaine et al. (2023) find declines in the order of 3%-4% among manufacturers in Ecuador and importers in France,

[9]The quantity and value curves do not perfectly line up as they apply to slightly different samples. First, value growth comes from GSTR-1. Second, for the quantity and price dynamics we restrict to single-product relationships where the product code is consistently reported to at the 8 digit HSN level.

respectively. Our estimates are consistent with the latter.

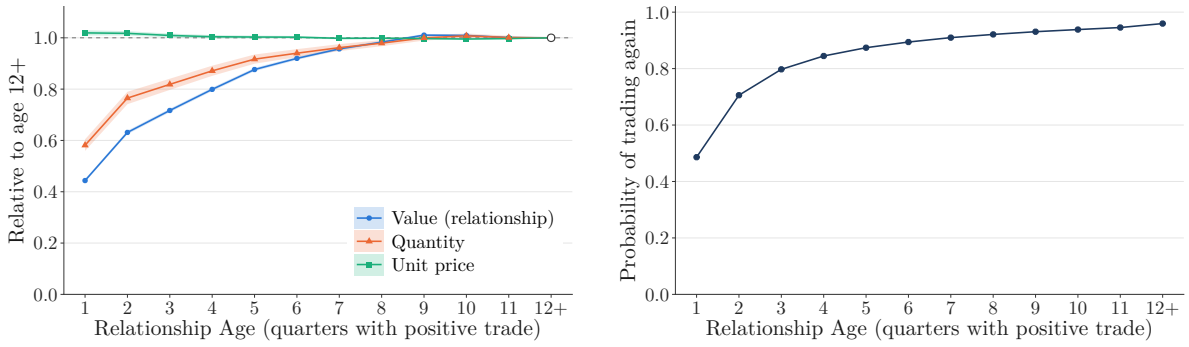
To estimate the survival rate as a function of relationship age, define an indicator D_{sbt} that is 1 if relationship sb ever trades again after period t. We then estimate the following regression:

$$D_{sbt} = \sum_{a=1}^{11} \beta_a 1\{\text{Age}_{sbt} = a\} + \gamma_{d(b)t} + \gamma_{j(s)t} + \varepsilon_{sbt}. \tag{17}$$

Intuitively, this regression estimates the probability that a relationship that survives to age a ever trades again relative to a relationship of age $12+$. As we are interested here in absolute rather than relative levels, we used the fitted coefficients to predict the absolute probability of trading again. We exclude observations in the last four quarters of the data to avoid artificially declaring relationships as terminated simply because our data does not cover subsequent trading periods.

We plot the estimated survival rates in Panel (b) of Figure 1. The probability that any given pair that has only traded once ever trades again is around 0.5. This rises monotonically and eventually peaks at a long-run survival rate of around 95%. The magnitude is in line with prior research.

Figure 1: Relationship Dynamics



(a) Value and Quantity Growth

(b) Survival Rate

Note: Panel (a) shows value and quantity growth over the course of a relationship. Panel (b) shows the estimated probability of a relationship trading again, conditional on reaching a given age.

3.3 New Empirical Patterns

3.3.1 Near-invariance of the Value Growth Curve to Firm Heterogeneity

In this subsection, we examine the extent to which the value growth curve presented in Panel (a) of Figure 1 varies with several important margins of firm heterogeneity. This is important for two reasons. First, it helps to assess the prediction of scale equivariance from the contracting model, which is central to tractable aggregation. This property predicts that, while firms may have heterogeneous productivities that affect their absolute scale of trade, the proportional buildup should be constant across firms. Second, understanding how this curve varies is of more general

interest, as different theories as to why this curve exists predict different patterns of heterogeneity. For example, learning about market conditions or demand for a product would suggest that there should be less build-up when the firm is older or has prior experience with the product. The fact that we observe both the universe of within-state transactions, where we have considerable information about both parties, and the universe of sales to other states, over a long horizon allows us to construct several measures of heterogeneity.

To study this, we divide firms into groups based on size, age, location experience, and product experience. We describe the construction and any sample restrictions of each of these four margins of heterogeneity below. In all cases, we augment the value growth specification in (16) to include interaction terms for the relevant margin of heterogeneity, as follows

$$\log y_{sbt} = \sum_{c} \sum_{a}^{11} \left(\beta_{a,c} + \eta_a' \text{Het}_{odt}\right) 1\{\text{Age}_{sbt} = a, C_{sb} = c\} + \gamma_{sb} + \gamma_{j(s)t} + \varepsilon_{sbt}, \tag{18}$$

where Het_{odt} captures the relevant interaction variable. As described below, in some cases we include additional controls or fixed effects.

Firm Size To ensure we can accurately measure size of both the buyer and seller, we restrict the sample to buyer-seller pairs in the study state. Within each HSN-4 sector, we divide firms into four quartiles based on their total sales in July 2017 through June 2018, with firms with zero sales in this window excluded. As the analysis already drops all relationships with any positive trade from the value growth regression, there is no mechanical link between total sales in this window and trade flows in the regression.

Firm Age We measure firm age using the earliest date at which the firm registered for value-added taxes in India. For firms that first registered after the introduction of the Goods and Services Tax (GST) in July 2017, we observe their GST registration date. For firms already operating when GST was introduced, we instead observe their registration date under the previous VAT system. As the VAT system was introduced in 2005, the registration date for firms that predate it is left-censored at 2005. Within each HSN-4 sector, we divide firms into four quartiles based on their registration date. As we only observe this registration information for firms in the study state, we again restrict the sample to buyer-seller pairs where both parties are in the study state.

Location Experience A large literature studies how values or quantities evolve as a function of time since a firm first exported to or imported from a new market, with several prominent theories of these dynamics emphasizing learning about market-specific conditions such as demand or quality. As some location-specific learning mechanisms would predict that relationships may start closer to maturity if the firm has location-specific experience, we consider heterogeneity by whether a firm has previously sold to a given state (for sellers) and whether a firm has previously bought from a given state (for buyers). We restrict the sample to interstate sales for sellers in our

study state, and interstate purchases for buyers in our study state. As we only observe interstate purchases in the e-way bill data, for comparability we restrict both analyses to the e-way bill data.

Product Experience Another literature posits that firm export and import dynamics reflect learning about the product or demand for the product. This predicts that growth should be slower for firms that already have experience with the product. We use the e-way bill data, where we observe product codes, and restrict to a sub-sample of sellers that consistently report 8-digit HSN codes. For every relationship, we can construct an indicator that is one if the firm has sold (for sellers) or bought (for buyers) this product in our data. We again restrict to trade within the study state to ensure we always observe the full sales and purchase history.

We plot the results in Figure 2. The main finding is that the value growth curve is remarkably consistent across these important margins of firm heterogeneity. The only exception is that there is slightly more growth among the youngest cohort of buyers, but the magnitude of this difference is relatively small. On the whole, this evidence shows that relationship growth is a pervasive phenomenon across the economy, rather than something confined to a particular group of firms, and we interpret it as empirical support for the separability between the scale of trade and relationship dynamics.

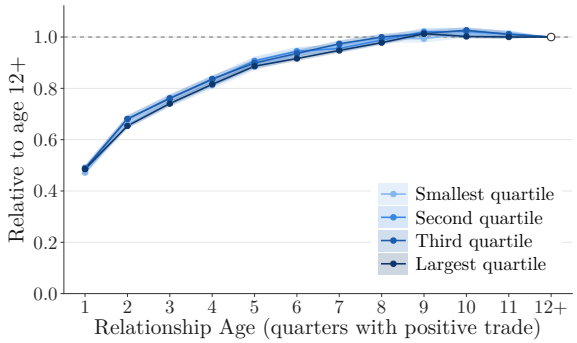
3.3.2 Contract enforcement and the buildup of trade

The model implies that weak contract enforcement can cause the value growth curve to be steeper as the DICC constrains quantity more, particularly in young relationships that are less valuable. We therefore examine empirically whether early trade is closer to mature trade when enforcement is stronger. This provides identifying variation for the contracting parameter ξ in the model, but also provides direct reduced form evidence regarding the mechanisms that explain the value growth curve.

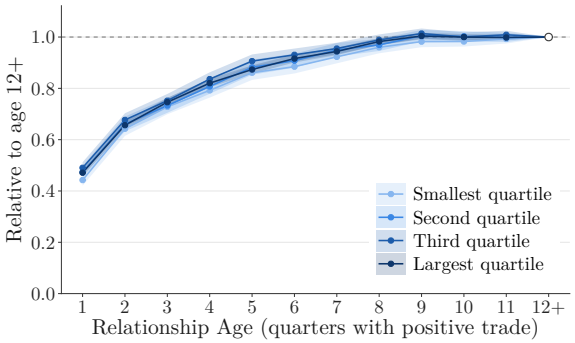
To do this, we exploit the fact that the local contracting environment varies substantially across Indian states. In particular, we follow Boehm and Oberfield (2020), who measure court congestion using the average age of pending civil cases in each High Court in 2016, as well as their instrumental variables strategy that exploits the historical origins of India's High Courts. Throughout India's history, states have frequently been divided or reorganized, often in response to political movements. These reorganizations were often accompanied by the establishment of new High Courts. Newly established courts typically began with little inherited backlog, while older courts continued to accumulate cases.

The exclusion restriction requires that the timing of these historical state reorganizations is not correlated with the current growth rate of buyer-seller relationships through channels other than court congestion. To partly address concerns arising from the possibility that newer states are systematically different, we allow the relationship age profile to vary with GDP per capita, population density, distance from the study state, and population. We also allow for heterogeneous

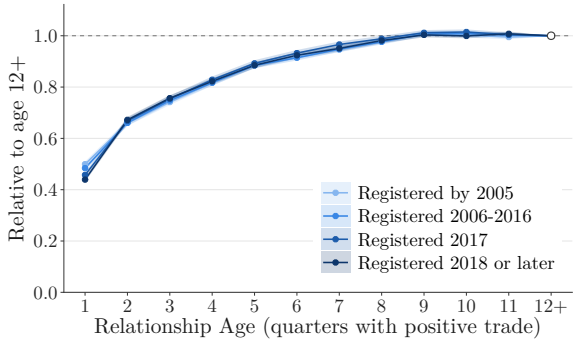
Figure 2: (Lack of) Heterogeneity in Relationship Dynamics



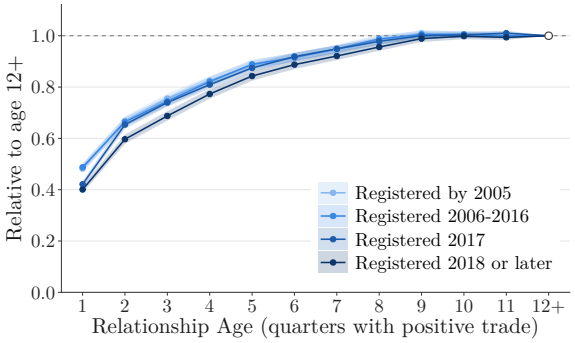
(a) Seller Size



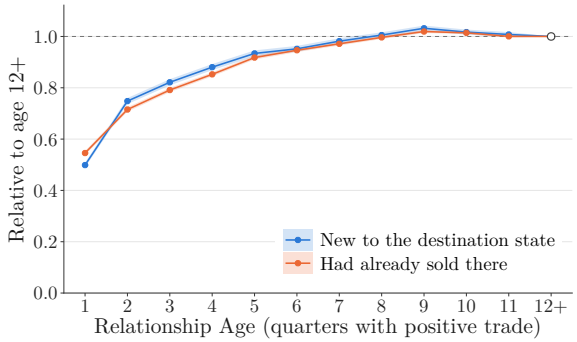
(b) Buyer Size



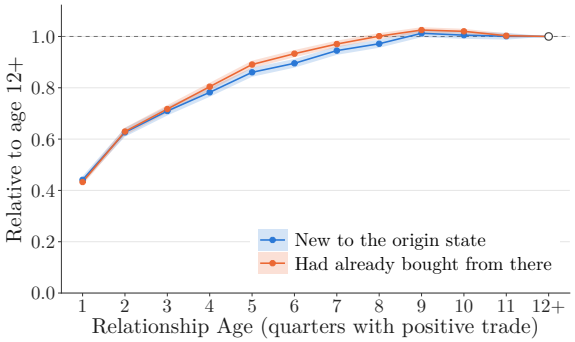
(c) Seller Age



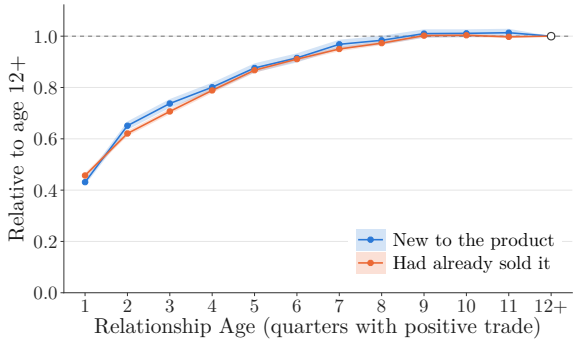
(d) Buyer Age



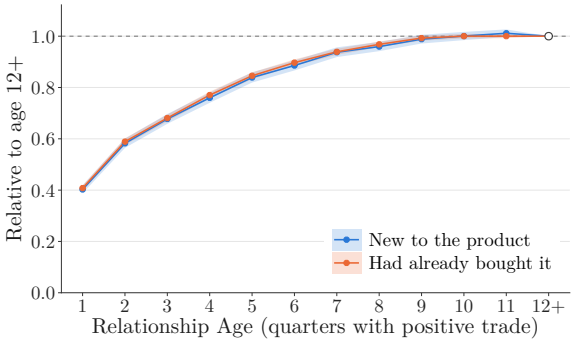
(e) Seller Destination Experience



(f) Buyer Product Experience



(g) Seller Product Experience



(h) Buyer Product Experience

Note: Each panel shows the evolution of value traded over the course of a buyer–seller relationship, separately by seller or buyer characteristics. Panels (a) and (b) examine firm size; panels (c) and (d) examine firm age; panels (e) and (f) examine experience selling to the destination state (for sellers) and experience buying from the origin state (for buyers); and panels (g) and (h) examine experience selling or buying the HSN8-level product.

slopes by the seller's 4-digit HSN sector. Boehm and Oberfield (2020) investigate the validity of the instrument in detail, and show that their results are robust to controlling for development, corruption, and ethnolinguistic fragmentation.

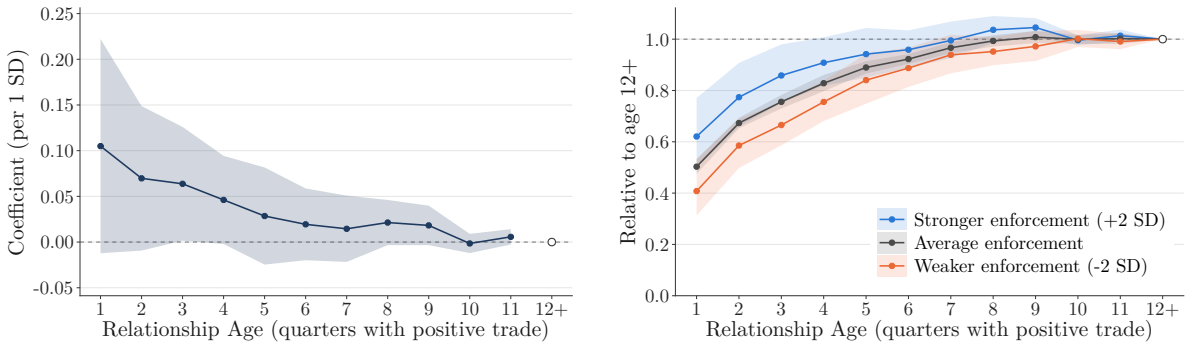
We examine how the relationship growth curve varies with court congestion by interacting the court variables with the relationship age indicators in (16). We restrict the sample to interstate relationships to avoid attributing differences in own-state versus interstate trade to differences in enforcement. Defining $Z_{d(b)}$ as the High Court age in the destination state (where the buyer is located), the reduced form is the following:

$$\log x_{sbt} = \gamma_{sb} + \gamma_{j(s)t} + \sum_{c} \sum_{a=1}^{11} \beta_{a,c} 1\{\text{Age}_{sbt} = a, C_{sb} = c\} + \sum_{a=1}^{11} \left(\eta_a Z_{d(b)} + \rho_a' X_{o(s),d(b)} + \gamma_{j(s),a}\right) 1\{\text{Age}_{sbt} = a, C_{sb} = c\} + \varepsilon_{sbt}, \tag{19}$$

where $X_{o(s),d(b)}$ is a vector of state- and state-pair level development covariates, and $\gamma_{j(s),a}$ are fixed effects for the seller's 4-digit HSN sector. The second-stage specification is analogous, with predicted backlog replacing $Z_{d(b)}$. The coefficients of instrument are $\{\eta_a\}$, which capture how the shape of the value growth curve varies with the court variables. We estimate this specification using 2SLS, and cluster standard errors at the level of the High Court.

We plot the results in Figure 3. Panel (a) shows the interaction coefficients, and Panel (b) shows the predicted value growth curve at different levels of enforcement.

Figure 3: Relationship Dynamics and Destination Contract Enforcement



(a) Value and Quantity Growth

(b) Survival Rate

Note: Panel (a) shows the predicted value growth curve at different levels of contract enforcement. Panel (b) shows the interaction coefficients.

4 Estimation

We now estimate the model using the Indian firm-to-firm transaction data in addition to new data on aggregate interstate trade. We calibrate standard parameters governing discounting, the demand elasticity, and the trade elasticity, and estimate the parameters governing relationship buildup and the contracting friction using the empirical results presented in Section 3.

4.1 Quantitative Economy and Calibrated Parameters

The economy comprises $D = 20$ locations: the 19 largest Indian states by GDP and a residual location that aggregates the remaining states and union territories. We work with $S = 15$ sectors using the stanadrd definition in India KLEMS. For the bilateral trade flow matrix, we use an additional proprietary dataset covering aggregate bilateral flows between at the state by HSN-4 product by month level, which we aggregate to the final quarter of the fiscal year 2022-23 and take to be our baseline period.

We construct the cost share parameters governing input-output linkages, $\{\gamma_{jk}\}$, using the Supply Use Tables published by the Government of India's National Statistics Office. We construct household expenditure shares, $\{\alpha_{d,j}\}$, using India's Household Consumption Expenditure Survey. We describe this procedure in more detail in Appendix C.

To match our empirical analysis in Section 3, we set a model period to correspond to a calendar quarter. Following Caliendo et al. (2019), we set the quarterly discount factor β to 0.99. We set the CES demand elasticity σ to 3, following standard practice in the macroeconomics literature (e.g., Hsieh and Klenow (2009)), and the Frechet shape parameter θ to 4 following Barnwal et al. (2024). We set the exogenous non-obsolesence continuation probability δ equal to the survival probability of mature relationships of 0.95 from the survival curve estimated in Figure 1.

4.2 Estimating Learning and Enforcement Parameters

We jointly estimate the parameters governing commercial suitability and enforcement to match the 11 age coefficients in the value growth curve in Figure 1 and the 11 interaction coefficients in the court heterogeneity regression in Figure XXX. For simplicity, we assume that the parameters (μ, λ) that govern learning about commercial suitability are constant across origins, destinations, and sectors. As we do not know the exact relationship between court backlogs and the enforcement parameter ξ_d, we impose a two parameter logit relationship between the two:

$$\frac{\xi_d}{1-\xi_d} = \eta_0 + \eta_1 \text{Court}_d, \tag{20}$$

where Court_d is the instrumented backlog measure and $\eta_1 > 0$ implies that more backlogged courts increase the share of value that the buyer can gain by holding up the seller. Reducing the estimation of $\{\xi_d\}$ to two parameters, rather than estimating ξ_d directly for every state, reflects the

fact that the interaction coefficients use cross-sectional variation across destinations to identify the relationship between the growth curve and courts.

To understand the connection between the model and the empirical moments, consider payments at two ages a and a' in the same relationship within a stationary environment. Proposition 1 and Equation (7) together imply

$$\frac{x_{a,odj}}{x_{a',odj}} = \frac{\phi^x_{a,odj}}{\phi^x_{a',odj}}, \qquad x_{a,odj} = \min\left\{ \underbrace{\left(\frac{\sigma-1}{\sigma}\right)^{\sigma}(p_a\nu_{dj})^{\sigma}c_{odj}^{1-\sigma}}_{\text{learning-implied } x_a}, \underbrace{\frac{\beta\delta p_a(V^b_{a+1}-V^b_0)}{\xi_d}}_{\text{if DICC binds at } a} \right\}. \tag{21}$$

The first equation is a consequence of scale equivariance: the producer-specific productivity $z_{o,j}(\omega)$ and the demand and cost shifters ν_{dj} and c_{odj} cancel. Assuming that any subsequent effects of learning from age 12 onwards are numerically small, taking a' to be the 12+ bin used in Figure 1 shows that the relationship growth curve identifies the wedges, $\phi^x_{a,odj}$, at every age a relative to the long-run wedge, $\phi^x_{\infty,odj}$. The second equation in (21) maps wedges to parameters. Recall from (7) that quantity (and thus value) is the minimum of the optimal order size given current beliefs $p_a = 1-\mu_a+\mu_a\lambda$ and the largest order size consistent with the DICC at age a. As the learning about commercial suitability is constant across destinations, variation in local contract enforcement, ξ_d, generates variation in the shape of the growth curve by changing both the value of the DICC term and the ages at which it is active. Intuitively, when courts are weaker, the DICC is more binding, meaning that $x_{a,odj}$ is lower than the pure-learning model would imply, and thus the extent to which the growth curve varies with court enforcement identifies (η_0, η_1).

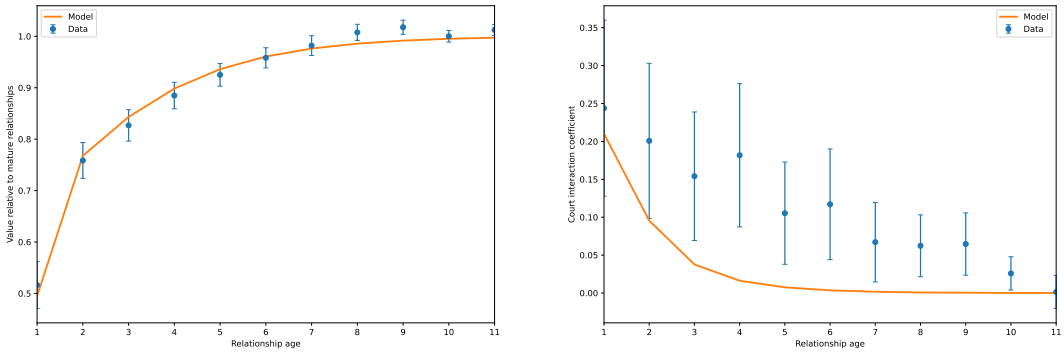
Write the vector of parameters to be estimated as $\psi \equiv (\mu, \lambda, \eta_0, \eta_1)$. For each candidate ψ, we solve the contracting problem to construct the model-implied counterparts to the empirical growth curve and court heterogeneity coefficients, denoted $m^V_a(\psi)$ and $m^C_a(\psi)$. We then use the following minimum distance estimator:

$$\hat{\psi} = \arg\min_{\psi}\left\{ \sum_{a=1}^{11} w^V_a\left[m^V_a(\psi)-\hat{m}^V_a\right]^2 + \sum_{a=1}^{11} w^C_a\left[m^C_a(\psi)-\hat{m}^C_a\right]^2 \right\}, \tag{22}$$

where w^V_a and w^C_a are within-block weights that are proportional to the inverse of the empirical variance of the coefficients, normalized to sum to 1. The normalization gives the two blocks equal total weight, while placing greater weight on more precisely estimated moments within each block.

We obtain the following estimates: $(\hat{\mu}, \hat{\lambda}, \hat{\eta}_0, \hat{\eta}_1) = (0.31, 0.60, -1.30, 0.29)$. We plot the fit on the targeted moments in Figure 4.

Figure 4: Targeted Moments: Model vs Data



(a) Value Growth

(b) Court Interaction Coefficients

5 Quantitative Application

We use the estimated model to study adjustment to a permanent reduction in interstate trade costs. Lowering the costs of trading across space has been an important policy objective in India (and in other countries) for decades, with major national policies that include the flagship 2017 Goods and Services Tax (GST) reform that harmonized value-added taxes across space with the goal of lowering administrative, logistical, and financial costs of trading across state border, numerous high-value national highway infrastructure projects, and a network of dedicated freight corridors that exclusively serve freight trains.

5.1 The Trade Cost Experiment

To simulate a reduction in trade costs of realistic magnitude, we consider a policy experiment calibrated to the 2017 GST reform. This comprises two components. First, this removed a flat 2% *ad valorem*, non-refundable tax on all interstate trade in goods (Central Sales Tax), effectively behaving as a standard tariff. For simplicity, we treat this in the model as a 2% reduction in iceberg trade costs, which, given that markups are zero in interstate trade in the model, would be exactly equivalent if the government does not rebate the revenues. Second, Barnwal et al. (2024) document how the GST reform substantially reduced the delays for trucks to cross state borders, and use the road network to translate those changes into reductions in iceberg trade costs. We follow this method, using their estimates of the reduction in border crossing times.

Together, these components provide a mean value of the relative change in bilateral trade costs, τ'_{odj}/τ_{odj}, of 0.9522, so an average reduction of around 5%. Own-state trade costs, τ_{odj} for $o = d$, are unchanged.

In the main experiment, the shock in unanticipated and implemented immediately. After its announcement, firms correctly anticipate the subsequent path of aggregate economic conditions. We initialize the economy at the stationary distribution of relationships implied by the estimated

model and solve for the new steady state and the transition path between the two equilibria.

5.2 Isolating the Role of Forward-Looking Contracts

The model features two dynamic adjustment mechanisms. First, the presence of incumbent relationships and the need to build new relationships upon switching can generate slow adjustment. Second, the fact that relational contracts depend on future surplus means that incumbent relationships that would otherwise remain profitable can reduce quantity or collapse altogether if the improvement in the outside option, which lowers the present and future surplus, tightens the DICC sufficiently. To separate these, we consider a version of the same counterfactual, but where we hold the normalized relationship wedges fixed at their pre-shock values: $\phi^x_{a,odj,t} = \phi^{x,SS}_{a,odj}$. This corresponds to a view in which the wedges need not be generated endogenously by contracting, but are simply exogenous technological features that govern relationship dynamics in the economy. Scale equivariance continues to hold, so quantity and value traded continue to vary as demand and cost conditions change, and new relationships still begin at age zero and mature over time. Thus, in both the full model with endogenous ϕ and the version with fixed-ϕ, the transition features relationship buildup, endogenous supplier retention, and forward-looking switching decisions. What the comparison isolates is the endogenous response of ϕ to changes in future surplus, which includes the possibility that a given incumbent relationship may have been incentive-compatible in the steady state but not in the new regime.

5.3 Results

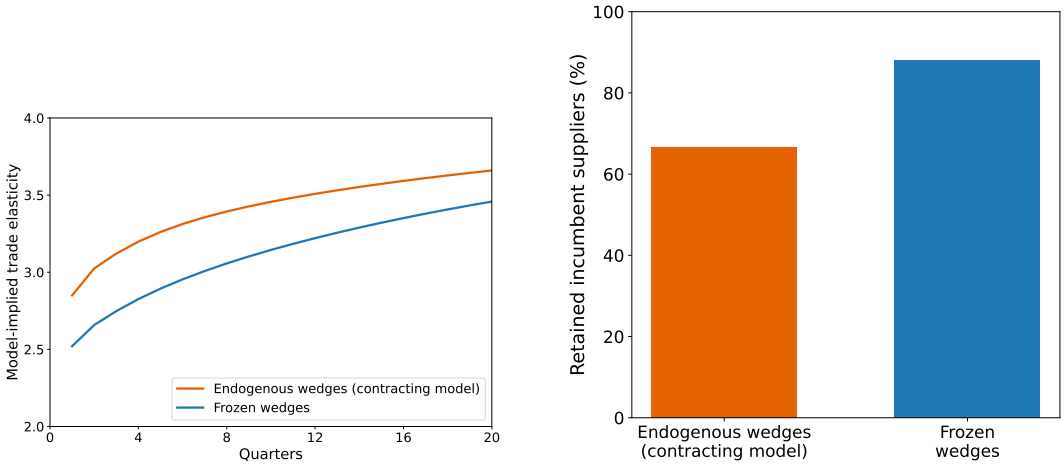
To summarize the adjustment of bilateral trade, and to relate to recent empirical evidence showing that the short-run trade elasticity is substantially lower than the long-run trade elasticity (Boehm et al., 2023), we calculate horizon-specific trade elasticities under the model. At each horizon h following the shock, we estimate the following gravity regression using model-generated flows:

$$\log\left(\frac{X_{odj,\bar{t}+h}}{X^{SS}_{odj}}\right) = \gamma_{ojh} + \gamma_{djh} - \varepsilon_h \log \hat{\tau}_{odj} + u_{odjh}, \tag{23}$$

where γ_{ojh} and γ_{djh} are origin-sector-horizon and destination-sector-horizon fixed effects, respectively. As shown in Proposition 2, the long-run elasticity is the Frechet shape parameter θ, which in our case is 4, so in the long run we will have $\varepsilon_h \to 4$. As discussed in Section 2, the two dynamic mechanisms primarily affect the extensive margin and therefore the short-run elasticity will generally be no lower than the intensive margin, which is $\sigma - 1 = 2$. The question is therefore the extent to which elasticity in short horizons is closer to 2 than to 4.

We plot the results in Panel (a) of Figure 5. In line with the evidence in Boehm et al. (2023), in both counterfactuals the short-run elasticity is substantially shorter than the long-run elasticity, with the economy taking more than five years to reach the new steady state. In the full model with endogenous wedges, the immediate elasticity is XXX, while in the model with fixed wedges the

Figure 5: Counterfactual Trade Adjustment



(a) Trade Elasticity

(b) Share Retaining Incumbent

immediate elasticity is XXX. After 5 years, the respective elasticities are XXX and XXX.

In Panel (b) of Figure 5 we display the number of firms that retain their incumbent supplier as a share of all firms for whom the frictionless model predicts an immediate switch of sourcing location. There are two relevant observations. First, under both the full and fixed-wedge model, these shares are large: 65% and 90%, respectively. This highlights that the history-dependence of relationships is quantitatively important in understanding the extensive margin of sourcing: many firms may retain their incumbent supplier in a given origin due to (endogenously) accumulated relationship capital, even though that origin may no longer be the optimal sourcing location. Second, the fact that the retention share is substantially lower in the full model than in the fixed wedge model highlights that the loss of future surplus can lead a large mass of otherwise profitable relationships to cease to exist, tempering the history-dependent incumbent retention channel.

6 Conclusion

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A Theoretical Appendix

A.1 Proof of Proposition

A.1.1 Definitions and Setup

We begin by defining a general contracting problem between a buyer and a seller. Consider a repeated game player by two parties, labeled $i \in \{B, S\}$.

Denote the exogenous environment that the players face by e, which includes the entire time path of any (potentially date-dependent) primitives. This will include wages and productivities, but also information, transition laws, outside options, and so on.

A history, h_t, is a complete record of all events preceding a decision at date t, which may include past allocations, payments, actions, signals, and random realizations. Let h_t^i denote the part of h_t that is observable to player i.

A strategy $b_t^i(\cdot|h_t^i)$ is a function that maps histories onto probability distributions over feasible actions.

Let $\pi_t^i(y_t, \varepsilon_t; h_t, e)$ denote the flow payoff to i, which depends on current-period choices y_t and current-period realized random outcomes ε_t.

A contract C is a complete contingent plan for the relationship, mapping every possible history onto recommendation actions. The recommended actions to player i can only depend on the part of the history observable to i. We write the recommended strategies under contract C as $b^* = (b^{B*}, b^{S*})$.

Let l_t denote the continuation outcome at the end of period t, where $l_t = \text{continue}$ means the relationship continues into the next period, and may contain various non-continuation branches such as termination due to breach of contract or termination by mutual consent. Let $O_{t+1}^{i,l}$ denote party i's continuation value at the start of period $t+1$ if the relationship ends at the end of period t and continuation branch l occurs. Then, define $U_t^i(C, b; h_t^i, e)$ as the continuation value at the start of period t. Formally,

$$U_t^i(C, b; h_t^i, e) = \mathbb{E}\Bigg[\pi_t^i(y_t, \varepsilon_t; h_t, e) + \beta_i\Bigg(1\{l_t = \text{continue}\} J_{t+1}^i(C, b; h_{t+1}^i, e) + \sum_{l \neq \text{continue}} 1\{l_t = l\} O_{t+1}^{i,l}(h_{t+1}^i, e)\Bigg)|h_t^i\Bigg].$$

The continuation value if both parties follow the recommendation strategy profile is $U_t^i(C, b^*; h_t^i, e)$, which we occasionally write simply as $U_t^i(C; h_t^i, e)$ or just U_t^i.

We say that a contract C is implementable in environment e following history h_t if the recommended actions are technically feasible and neither party has a profitable deviation. Formally,

without loss of generality, the buyer does not have a profitable deviation if at every history h_t^B, for every technically feasible strategy $d^B \neq b^{B*}$, the continuation value is weakly lower than following the recommendation

$$U_t^B(C, b^{B*}, b^{S*}; h_t^B, e) \geq U_t^B(C, d^B, b^{S*}; h_t^B, e) \quad \text{for all } h_t^B \text{ and feasible } d^B. \tag{24}$$

A.1.2 The Transformation Operator

Consider an operator S_λ that takes a vector x of allocations, monetary payments and values, and any other components and transforms it to x^λ by multiplying all allocations by $Q(\lambda) \in (0, \infty)$, multiplying all monetary payments and values by $M(\lambda) \in (0, \infty)$, and leaving all other components unchanged. A transformed contract consists of applying the transformation operator S_λ to all recommended actions at all histories. A transformed strategy profile consists of applying the transformation operator to all actions, with the same randomization probabilities over these transformed actions.

Assumption 1 (Flow Payoffs Scale)**.** *Stage payoffs satisfy* $\pi_t^i(y_t^\lambda, \varepsilon_t^\lambda; h_t^{i,\lambda}, e^\lambda) = M(\lambda)\pi_t^i(y_t, \varepsilon_t; h_t^i, e)$.

Assumption 2 (Transformation Preserves Information and State Transitions)**.** *Player i observes the portion h_t^i of h_t if and only if i observes the portion $h_t^{i,\lambda}$ of h_t^λ. The conditional distribution of next-period histories in environment e after current history h_t and current-period action vector y_t is the same as the conditional distribution of next-period histories in environment e^λ after current history h_t^λ and current-period action vector y_t^λ.*

Assumption 3 (Exit Values Scale)**.** *Outside continuation values satisfy:* $O_t^{i,l}(h_t^{i,\lambda}; e^\lambda) = M(\lambda)O_t^{i,l}(h_t^i; e)$ *for all l.*

Assumption 4 (Transformation Preserves Feasibility)**.** *The period-t action vector y_t is technically feasible in environment e after history h_t if and only if y_t^λ are technically feasible in environment e^λ after history h_t^λ.*

We also require a regularity condition that continuation values are always finite.

Lemma 1 (Continuation Value Scaling)**.** *Suppose Assumptions 1, 2, 3, and the continuation value finiteness condition hold. For every technically feasible contract C, every feasible strategy profile b, and every pair of corresponding information histories,*

$$U_t^i(C^\lambda, b^\lambda; h_t^{i\lambda}, e^\lambda) = M(\lambda)U_t^i(C, b; h_t^i, e), \qquad i \in \{B, S\}. \tag{25}$$

Proof. Consider a finite-horizon continuation value, where we define $U_t^{i,T}(C, b; h_t^i, e)$ as the continuation value where the continuation value under $l =$ continue is zero. Then, for any $t \leq T$, we

can write

$$U_t^{i,T}(C,b;h_t^i,e)=\mathbb{E}\Bigg[\pi_t^i(y_t,\varepsilon_t;h_t^i,e)+\beta_i\Bigg(1\{l_t=\text{continue}\}U_{t+1}^{i,T}(C,b;h_{t+1}^i,e)\\+\sum_{l\neq\text{continue}}1\{l_t=l\}O_{t+1}^{i,l}(h_{t+1}^i,e)\Bigg)|h_t^i\Bigg].$$

Consider the continuation value when all elements are transformed:

$$U_t^{i,T}(C^\lambda,b^\lambda;h_t^{i,\lambda},e^\lambda)=\mathbb{E}\Bigg[\pi_t^i(y_t^\lambda,\varepsilon_t^\lambda;h_t^{i,\lambda},e^\lambda)+\beta_i\Bigg(1\{l_t=\text{continue}\}U_{t+1}^{i,T}(C^\lambda,b^\lambda;h_{t+1}^{i,\lambda},e^\lambda)\\+\sum_{l\neq\text{continue}}1\{l_t=l\}O_{t+1}^{i,l}(h_{t+1}^{i,\lambda},e^\lambda)\Bigg)|h_t^{i,\lambda}\Bigg].$$

Let the inductive hypothesis be that $J_{t+1}^{i,T,\lambda}=M(\lambda)J_{t+1}^{i,T}$. Then, Assumptions 1, 2, 3 imply

$$\begin{aligned}U_t^{i,T}(C^\lambda,b^\lambda;h_t^{i,\lambda},e^\lambda)&=\mathbb{E}\Bigg[M(\lambda)\pi_t^i(y_t;h_t,e)+\beta_i\Bigg(1\{l_t=\text{continue}\}M(\lambda)J_{t+1}^{i,T}\\&\qquad+\sum_{l\neq\text{continue}}1\{l_t=l\}M(\lambda)O_{t+1}^{i,l}(h_{t+1}^i,e)\Bigg)|h_t^i\Bigg]\\&=M(\lambda)U_t^{i,T}(C,b;h_t^i,e).\end{aligned}$$

Since the inductive hypothesis holds for $t=T+1$ by construction of the finite-horizon problem, it follows that $U_t^{i,T,\lambda}=M(\lambda)U_t^{i,T}$ for all $t\leq T$. Under the boundedness condition, taking the limit as $T\to\infty$ gives

$$U_t^i(C^\lambda,b^\lambda;h_t^{i,\lambda},e^\lambda)=M(\lambda)U_t^i(C,b;h_t^i,e). \tag{26}$$

□

Proposition 4 (Contract Scaling). *Let e be a contracting environment, and suppose Assumptions 1, 2, 3, 4 and the continuation value finiteness condition hold.*

1. *A contract C is implementable in e if and only if its transformed contract C^λ is implementable in e^λ. Under corresponding implementing strategies,*

$$U_t^i(C^\lambda,b^{*,\lambda};h_t^{i,\lambda},e^\lambda)=M(\lambda)U_t^i(C,b^*;h_t^i,e). \tag{27}$$

2. *If the contract-selection rule is invariant to a common positive scaling of payoffs, a contract is optimal in environment e if and only if it is optimal in environment e^λ.*

Proof. **Part 1:** Suppose C is implementable in e. By Assumption 4, any transformed strategy remains technically feasible under e^λ. For no-deviation, Lemma 1 implies that for any transformed

deviating strategy at any history, we have

$$\begin{aligned} &U_t^B(C^\lambda, b^{B*,\lambda}, b^{S*,\lambda}; h_t^{B,\lambda}, e^\lambda) - U_t^B(C^\lambda, d^{B,\lambda}, b^{S*,\lambda}; h_t^{B,\lambda}, e^\lambda) \\ &\quad = M(\lambda)\left[U_t^B(C, b^{B*}, b^{S*}; h_t^B, e) - U_t^i(C, d^B, b^{S*}; h_t^B, e)\right] \\ &\quad \geq 0, \end{aligned}$$

with an analogous expression for the seller. As the transformation is invertible, taking the inverse gives the converse. For the continuation values, applying Lemma 1 at the implementing strategies yields

$$U_t^i(C^\lambda, b^{*,\lambda}; h_t^{i,\lambda}, e^\lambda) = M(\lambda) U_t^i(C, b^*; h_t^i, e). \tag{28}$$

Part 2: Part 1 established that, in the transformed problem, both parties earn the continuation value from in the original problem multiplied by the common positive and finite factor $M(\lambda)$. If the contract selection rule is invariant to a common positive scaling, it follows if contract C is in the set of selected (optimal) contracts in e, then C^λ is in the set of selected (optimal) contracts in e^λ. □

A.1.3 Specializing to a quasi-linear payoff class

Corollary 1 (CES Quasi-Linear Flow Payoffs)**.** *Let an infinite sequence of scalar $\{\nu_s, \kappa_s\}_{s\geq t}$ be given, and define $c_t(z) \equiv \kappa_t / z$ for a scalar $z \in (0, \infty)$. Suppose that flow payoffs consist of benefit terms $F_B(q_t, ...)$ and $F_S(q_t, ...)$ that are homogeneous of degree $(\sigma - 1)/\sigma$ in quantity q_t, resource cost terms $G_B(q_t, ...)$ and $G_S(q_t, ...)$ that are homogeneous of degree 1 in quantity q_t, and quasi-linear transfers x_t,*

$$\begin{aligned} \pi_t^B &= \nu_t F_B(q_t, ...) - c_t G_B(q_t, ...) - x_t \\ \pi_t^S &= \nu_t F_S(q_t, ...) - c_t G_S(q_t, ...) + x_t. \end{aligned}$$

Suppose further that the contracting environment satisfies Assumptions 2, 3, 4. Consider a transformed contracting environment with $z^\lambda = \lambda z$. Then, quantities and transfers under the optimal contract in the transformed environment satisfy

$$\begin{aligned} q_t^*(\lambda z; h_t^\lambda) &= \lambda^\sigma q_t^*(z; h_t) \\ x_t^*(\lambda z; h_t^\lambda) &= \lambda^{\sigma-1} x_t^*(z; h_t) \\ \tilde{U}_t^{i*}(\lambda z; h_t^\lambda) &= \lambda^{\sigma-1} \tilde{U}_t^{i*}(z; h_t). \end{aligned}$$

A.2 Proof of Proposition 2

Proposition 1 (Steady State)**.** *In steady state, the share of d's total expenditure allocated to o is*

$$\pi_{od}^{SS} = \frac{(w_o \tau_{od})^{-\theta} \bar{\phi}_{od}^{ext} \bar{\phi}_{od}^{int}}{\sum_m (w_m \tau_{md})^{-\theta} \bar{\phi}_{md}^{ext} \bar{\phi}_{md}^{int}}, \tag{29}$$

where $\bar{\phi}_{od}^{ext} \equiv \left(\phi_{0,od}^{U}\right)^{\theta/(\sigma-1)-1}$ *and* $\bar{\phi}_{od}^{int} \equiv \sum_{a=0}^{\infty} s_{a,od}\rho_{a,od}\left(\phi_{a,od}^{q}\right)^{(\sigma-1)/\sigma}$.

Proof. Define $\kappa_{od} \equiv w_o\tau_{od}$ as the non-stochastic component of bilateral trade costs. Final expenditure in d on good ω from origin o is given by $x_{od}(\omega) = \nu_d\chi_{od}(\omega)q_{od}^{(\sigma-1)/\sigma}1\{o = \arg\max_m U_{0,md}\}$. Total expenditure, $X_{od} = \int_0^1 x_{od}(\omega)d\omega$, is therefore given by,

$$\begin{aligned}X_{od} &= \nu_d^{\sigma}\kappa_{od}^{1-\sigma}\int_0^1 \chi_{a(\omega),od}(\omega)z_o(\omega)^{\sigma-1}(\phi_{a(\omega),od}^{q})^{\frac{\sigma-1}{\sigma}}1\{c_{od}(\omega)^{1-\sigma}\phi_{0,od}^{U} = \max_m c_{md}(\omega)^{1-\sigma}\phi_{0,md}^{U}\}d\omega \\ &= \nu_d^{\sigma}\kappa_{od}^{1-\sigma}\left(\sum_a s_{a,od}\rho_{a,od}(\phi_{a,od}^{q})^{\frac{\sigma-1}{\sigma}}\right)\int_0^1 z_o(\omega)^{\sigma-1}1\{c_{od}(\omega)(\phi_{0,od}^{U})^{\frac{1}{1-\sigma}} = \min_m c_{md}(\omega)(\phi_{0,md}^{U})^{\frac{1}{1-\sigma}}\}d\omega\end{aligned}$$

where the second line uses the observation that relationship age is independent of $z_o(\omega)$. Define the shorthand $A_o \equiv \{o \text{ is cheapest}\}$ and write the integral term as $\mathbb{E}[z_o^{\sigma-1}1\{A_o\}]$. By the Law of Iterated Expectations,

$$\mathbb{E}[z_o^{\sigma-1}1\{A_o\}] = \mathbb{E}\left[\mathbb{E}[z_o^{\sigma-1}1\{A_o\}]|z_o = z\right] = \mathbb{E}\left[z_o^{\sigma-1}\mathbb{E}[1\{A_o\}]|z_o = z\right] = \mathbb{E}[z_o^{\sigma-1}\Pr(A_o|z_o = z)].$$

As draws are independent, some algebra gives

$$\int z^{\sigma-1}f_o(z)\prod_{m\neq o}\Pr\left(z_m \leq \frac{\kappa_{md}}{\kappa_{od}}\left(\frac{\phi_{0,md}^{U}}{\phi_{0,od}^{U}}\right)^{\frac{1}{1-\sigma}}z\right)dz = \int z^{\sigma-1}\theta z^{-1-\theta}e^{-(\kappa_{od}(\phi_{0,od}^{U})^{\frac{1}{1-\sigma}})^{\theta}z^{-\theta}\Phi_d}dz,$$

where $\Phi_d \equiv \sum_m(\kappa_{md}(\phi_{0,md}^{U})^{\frac{1}{1-\sigma}})^{-\theta}$. Define $t \equiv \left(\kappa_{od}(\phi_{0,od}^{U})^{\frac{1}{1-\sigma}}\right)^{\theta}\Phi_d z^{-\theta}$, which implies $dz = -\left(\kappa_{od}(\phi_{0,od}^{U})^{\frac{1}{1-\sigma}}\right)^{-\theta}\Phi_d^{-1}\theta^{-1}z^{\theta+1}dt$. Substituting in and using the definition of the Gamma function gives

$$\int_0^{\infty} t^{-\frac{\sigma-1}{\theta}}\left(\kappa_{od}(\phi_{0,od}^{U})^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\Phi_d^{\frac{\sigma-1}{\theta}-1}e^{-t}dt = \left(\kappa_{od}(\phi_{0,od}^{U})^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\Phi_d^{\frac{\sigma-1}{\theta}-1}\Gamma\left(1-\frac{\sigma-1}{\theta}\right).$$

Substituting this back into the expression for X_{od} gives

$$\begin{aligned}X_{od} &= \nu_d^{\sigma}\kappa_{od}^{1-\sigma}\left(\sum_a s_{a,od}\rho_{a,od}(\phi_{a,od}^{q})^{\frac{\sigma-1}{\sigma}}\right)\left(\kappa_{od}(\phi_{0,od}^{U})^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\Phi_d^{\frac{\sigma-1}{\theta}-1}\Gamma\left(1-\frac{\sigma-1}{\theta}\right) \qquad (30)\\ &= \kappa_{od}^{-\theta}(\phi_{0,od}^{U})^{\frac{\theta}{\sigma-1}-1}\left(\sum_a s_{a,od}\rho_{a,od}(\phi_{a,od}^{q})^{\frac{\sigma-1}{\sigma}}\right)\nu_d^{\sigma}\Phi_d^{\frac{\sigma-1}{\theta}-1}\Gamma\left(1-\frac{\sigma-1}{\theta}\right).\end{aligned}$$

Defining $\bar{\phi}_{od}^{\text{int}} \equiv \left(\sum_a s_{a,od}\rho_{a,od}(\phi_{a,od}^{q})^{\frac{\sigma-1}{\sigma}}\right)$, the trade share is then given by

$$\pi_{od}^{SS} \equiv \frac{X_{od}}{\sum_m X_{md}} = \frac{\kappa_{od}^{-\theta}\bar{\phi}_{od}^{\text{int}}\left(\phi_{0,od}^{U}\right)^{\frac{\theta}{\sigma-1}-1}}{\sum_m \kappa_{md}^{-\theta}\bar{\phi}_{md}^{\text{int}}\left(\phi_{0,md}^{U}\right)^{\frac{\theta}{\sigma-1}-1}}. \qquad (31)$$

Finally, the choice probability is simply the integral but without the $z^{\sigma-1}$ term. Note that the z term cancels out after substituting out dz, so we have

$$\pi_{od}^{src} \equiv \Pr(d \text{ buys from } o) = \int_0^\infty \left(\kappa_{od}(\phi_{0,od}^U)^{\frac{1}{1-\sigma}}\right)^{-\theta} \Phi_d^{-1} e^{-t} dt = \frac{\kappa_{od}^{-\theta}\left(\phi_{0,od}^U\right)^{\frac{\theta}{\sigma-1}}}{\sum_m \kappa_{md}^{-\theta}\left(\phi_{0,md}^U\right)^{\frac{\theta}{\sigma-1}}}. \tag{32}$$

While π_{od}^{src} is not directly observable in data, it is a simple transformation of the (observable) expenditure share. Define $\tilde{\pi}_{od} \equiv \pi_{od}\phi_{0,od}^U/\bar{\phi}_{od}^{\text{int}}$. Then, we have

$$\pi_{od}^{src} = \frac{\tilde{\pi}_{od}}{\sum_m \tilde{\pi}_{md}}. \tag{33}$$

□

A.3 Proof of Proposition

Step 0: Notation Recap In what follows, if a quantity that can vary over time does not have a time index, it should be understood as the steady state quantity. Within a period, timing is as follows: (a) any currently unmatched firms form a new match, (b) orders are placed, (c) orders are realized, (d) the technology obsolescence shock happens. The steady state shares, $s_{a,od}$, therefore refer to timing after (a) has occurred. In particular, these follow the recursion $s_{a,od} = \delta\rho_{a-1,od}s_{a,od}$ for $a \geq 1$, with $s_{0,od} = (1 + \sum_{a=1}^\infty \delta^a \prod_{e=0}^{n-1} \rho_{e,od})^{-1}$.

In what follows, some regions for some origins may be empty (e.g., if κ_{od} goes up for some o, there will not be firms switching from o' to o). To avoid notational clutter, we do not include additional $\min$ and $\max$ functions to account for this on integration limits, so it should be understood that any integrals of the form $\int_L^R$ are zero if $L \geq R$.

Step 1: Derive the distribution of $r_{id,\bar{t}}(\omega)$ Define $b_{d,t}(\omega) \equiv \arg\max_o U_{0,od,t}(\omega)$ as best origin for ω in d in the first period of the shock, $\bar{t}$, if the importer were to choose the origin from scratch (i.e., absent an existing relationship). We will suppress the d, t subscript going forward as it is will clear which destination and period are relevant. Then, define

$$r_{id,t}(\omega) \equiv \frac{U_{0,id,t}}{U_{0,bd,t}} \in \left[\frac{\hat{U}_{0,id,t}}{\hat{U}_{0,bd,t}}, 1\right], \tag{34}$$

as the ratio of the incumbent origin's NPV to the best origin's NPV. Region 1 denotes ω for which $b(\omega) = i$, i.e., the incumbent origin is still the best origin. It will be useful to derive $\Pr(r_{id,\bar{t}}(\omega) \geq r$ and $r_{id,\bar{t}-1}(\omega) = 1 | z_i = z)$, i.e., the probability that the post-shock ratio is above some r and i

was the incumbent. The probability of the first event is

$$\Pr(r_{id,\bar{t}}(\omega) \geq r | z_i = z) = \Pr(U_{0,id,\bar{t}} \geq r U_{0,bd,\bar{t}}) = \Pr\left(z_m \leq r^{\frac{1}{1-\sigma}} \frac{\kappa_{md,\bar{t}}}{\kappa_{id,\bar{t}}} \left(\frac{\phi^U_{0,md,\bar{t}}}{\phi^U_{0,id,\bar{t}}} \right)^{\frac{1}{1-\sigma}} z \right) \text{ for all } m \neq i.$$

Since the second event is the same but with $r = 1$ and time subscripts $\bar{t} - 1$, the joint probability is

$$\begin{aligned}
&f_i(z) \Pr(r_{id,\bar{t}}(\omega) \geq r \text{ and } r_{id,\bar{t}-1}(\omega) = 1 | z_i = z) \\
&\quad = f_i(z) \prod_{m \neq i} \Pr\left(z_m \leq \min\left\{ r^{\frac{1}{1-\sigma}} \frac{\kappa_{md,\bar{t}}}{\kappa_{id,\bar{t}}} \left(\frac{\phi^U_{0,md,\bar{t}}}{\phi^U_{0,id,\bar{t}}} \right)^{\frac{1}{1-\sigma}} z, \frac{\kappa_{md,\bar{t}-1}}{\kappa_{id,\bar{t}-1}} \left(\frac{\phi^U_{0,md,\bar{t}-1}}{\phi^U_{0,id,\bar{t}-1}} \right)^{\frac{1}{1-\sigma}} z \right\} \right) \\
&\quad = \theta z^{-\theta-1} \exp(-z^{-\theta}) \prod_{m \neq i} \Pr\left(z_m \leq z \frac{\kappa_{md,\bar{t}-1}}{\kappa_{id,\bar{t}-1}} \left(\frac{\phi^U_{0,md,\bar{t}-1}}{\phi^U_{0,id,\bar{t}-1}} \right)^{\frac{1}{1-\sigma}} \min\left\{ \left(r \frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}} \right)^{\frac{1}{1-\sigma}}, 1 \right\} \right) \\
&\quad = \theta z^{-\theta-1} \exp\left(-z^{-\theta} \kappa^{\theta}_{id,\bar{t}-1} (\phi^U_{id,\bar{t}-1})^{\frac{\theta}{1-\sigma}} \Phi_{id}(r) \right),
\end{aligned}$$

where

$$\Phi_{id}(r) \equiv \sum_m \kappa^{-\theta}_{md,\bar{t}-1} (\phi^U_{0,md,\bar{t}-1})^{-\frac{\theta}{1-\sigma}} \max\left\{ 1, \left(r \frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}} \right)^{\frac{\theta}{\sigma-1}} \right\}, \tag{35}$$

is the new aggregator. While $\Phi_{id}(r)$ depends on levels of $\kappa_{od,\bar{t}-1}$, note that these are removed when taking hats relative to the steady state aggregator, Φ_d:

$$\frac{\Phi_{id}(r)}{\Phi_d} = \sum_m \pi^{src}_{md} \max\left\{ 1, \left(r \frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}} \right)^{\frac{\theta}{\sigma-1}} \right\}. \tag{36}$$

It will also be useful to calculate $\Phi'_{id}(r)$, which is given by

$$\Phi'_{id}(r) = \frac{\theta}{\sigma - 1} \frac{1}{r} \sum_m \kappa^{-\theta}_{md,\bar{t}-1} (\phi^U_{0,md,\bar{t}-1})^{-\frac{\theta}{1-\sigma}} \left(r \frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}} \right)^{\frac{\theta}{\sigma-1}} 1\left\{ r \geq \frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}} \right\}. \tag{37}$$

Again, it is useful to normalize it relative to the steady state aggregator:

$$\frac{\Phi'_{id}(r)}{\Phi_d} = \frac{\theta}{\sigma - 1} \frac{1}{r} \sum_m \pi^{src}_{md} \left(r \frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}} \right)^{\frac{\theta}{\sigma-1}} 1\left\{ r \geq \frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}} \right\}. \tag{38}$$

We will repeatedly need to integrate this $z^{\sigma-1}$ over this density, which gives

$$\begin{aligned}\mathbb{E}[z_i(\omega)^{\sigma-1}1\{r_{id,\bar{t}}(\omega) \geq r \text{ and } r_{id,\bar{t}-1}(\omega)=1\}] \\ &= \int z^{\sigma-1}\theta z^{-\theta-1}\exp\left(-z^{-\theta}\kappa^{\theta}_{id,\bar{t}-1}(\phi^{U}_{0,id,\bar{t}-1})^{\frac{\theta}{1-\sigma}}\Phi_{id}(r)\right)dz \\ &= \Gamma\left(1-\frac{\sigma-1}{\theta}\right)\left(\kappa_{id,\bar{t}-1}(\phi^{U}_{0,id,\bar{t}-1})^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\Phi_{id}(r)^{\frac{\sigma-1}{\theta}-1}. \qquad (39)\end{aligned}$$

Step 2: Derive expenditure in Region 1 and Region 2 Region 1 is the set of ω for which the best origin is the incumbent origin, i.e., $r_{id,\bar{t}}(\omega)=1$. Region 2 is the set of of ω for which the best origin is no longer the incumbent, but the importer remains with their incumbent supplier because of accumulated relationship capital, i.e., $r_{id,\bar{t}}(\omega) \in [\max\{R_{a,id,\bar{t}}, \hat{U}_{0,id,t}/\hat{U}_{0,bd,t}\}, 1)$ where $R_{a,id,\bar{t}}$ is the value of $r_{id,\bar{t}}$ at which an importer in a relationship of age a is indifferent between starting fresh in a new origin and remaining with their incumbent supplier. In both cases, the previous contract must be renegotiated, which will in general be a function of both $r_{id,\bar{t}}(\omega)$ (as this governs how much better the new-best origin is for good ω) and $b(\omega)$ (as the contract will depend on the full time-path of the outside option, which is origin specific), so we write $\phi^{q}_{a,od,\bar{t}}(r,m)$ to make this explicit.

We exclude from Region 1 any relationships that broke up at the end of $\bar{t}-1$ but choose to remain in the same origin, as these contracts do not depend on the pre-shock period in any way. We will account for these among the new "ordinary" relationship stock. Following the same steps as in Proposition 1, aggregate expenditure in $\bar{t}$ for goods in Region 1 is

$$\begin{aligned}X^{R1}_{id,\bar{t}} &= \nu^{\sigma}_{d,\bar{t}}\kappa^{1-\sigma}_{id,\bar{t}}\left(\sum_{a=1}^{\infty}s_{a,id}\rho_{a,id}(\phi^{q}_{a,id,\bar{t}}(1))^{\frac{\sigma-1}{\sigma}}\right)\int z^{\sigma-1}f_i(z)\Pr(r_{id,\bar{t}}(\omega)=1 \text{ and } r_{id,\bar{t}-1}(\omega)=1|z_i=z)dz \\ &= \nu^{\sigma}_{d,\bar{t}}\kappa^{1-\sigma}_{id,\bar{t}}\left(\sum_{a=1}^{\infty}s_{a,id}\rho_{a,id}(\phi^{q}_{a,id,\bar{t}}(1))^{\frac{\sigma-1}{\sigma}}\right)\Gamma\left(1-\frac{\sigma-1}{\theta}\right)\left(\kappa_{id,\bar{t}-1}(\phi^{U}_{0,id,\bar{t}-1})^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\Phi_{id}(1)^{\frac{\sigma-1}{\theta}-1}.\end{aligned}$$

where the second line uses (39). Dividing by (30) gives

$$\begin{aligned}\frac{X^{R1}_{id,\bar{t}}}{X_{id,\bar{t}-1}} &= \hat{\nu}^{\sigma}_{d,\bar{t}}\hat{\kappa}^{1-\sigma}_{id,\bar{t}}\left(\frac{\sum_{a=1}^{\infty}s_{a,id}\rho_{a,id}(\phi^{q}_{a,id,\bar{t}}(1))^{\frac{\sigma-1}{\sigma}}}{\bar{\phi}^{\text{int}}_{id}}\right)\left(\frac{\Phi_{id}(1)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1} \qquad (40) \\ &= \hat{\nu}^{\sigma}_{d,\bar{t}}\hat{\kappa}^{1-\sigma}_{id,\bar{t}}\left(\frac{\sum_{a=1}^{\infty}s_{a,id}\rho_{a,id}(\phi^{q}_{a,id,\bar{t}}(1))^{\frac{\sigma-1}{\sigma}}}{\bar{\phi}^{\text{int}}_{id}}\right)\left(\sum_{m}\pi^{src}_{md}\max\left\{1,\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\right\}\right)^{\frac{\sigma-1}{\theta}-1},\end{aligned}$$

which does not depend on levels.

In Region 2, the renegotiated contract depends on the level of $r_{id,\bar{t}}(\omega)$ and on the identity of the the new best origin as different origins have different wage dynamics. We therefore need to integrate over the joint density of $(r_{id,\bar{t}}(\omega), b(\omega))$. Differentiating (39) to get the relevant expenditure-

weighted density of productivity at a given r gives

$$-\frac{d}{dr}\mathbb{E}[z_i(\omega)^{\sigma-1}1\{r_{id,\bar{t}}(\omega)\geq r \text{ and } r_{id,\bar{t}-1}(\omega)=1\}]$$
$$=\Gamma\left(1-\frac{\sigma-1}{\theta}\right)\left(\kappa_{id,\bar{t}-1}(\phi^U_{0,id,\bar{t}-1})^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\left(1-\frac{\sigma-1}{\theta}\right)\Phi'_{id}(r)\Phi_{id}(r)^{\frac{\sigma-1}{\theta}-2}.$$

This is the $z_i^{\sigma-1}$-weighted density for the event that any origin $m\neq i$ is the new best. To obtain the density for the portion that a particular m is the new best, we can simply take the portion of (37) for a given m as the marginal goods affected by moving r must be those for which the origin in (37) is the new best (since ties occur with probability zero). The relevant density is therefore

$$\begin{aligned}g_{id,\bar{t}}(r,m)\equiv&-\frac{d}{dr}\mathbb{E}[z_i(\omega)^{\sigma-1}1\{r_{id,\bar{t}}(\omega)\geq r \text{ and } r_{id,\bar{t}-1}(\omega)=1 \text{ and } m \text{ is the new best origin}\}]\\
=&\Gamma\left(1-\frac{\sigma-1}{\theta}\right)\left(\kappa_{id,\bar{t}-1}(\phi^U_{0,id,\bar{t}-1})^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\left(1-\frac{\sigma-1}{\theta}\right)\Phi_{id}(r)^{\frac{\sigma-1}{\theta}-2}\\
&\times\frac{\theta}{\sigma-1}\frac{1}{r}\kappa^{-\theta}_{md,\bar{t}-1}(\phi^U_{0,md,\bar{t}-1})^{-\frac{\theta}{1-\sigma}}\left(r\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}1\left\{r\geq\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}\right\}.\end{aligned}$$

Then, expenditure in Region 2 is given by

$$\begin{aligned}X^{R2}_{id,\bar{t}}=&\nu^{\sigma}_{d,\bar{t}}\kappa^{1-\sigma}_{id,\bar{t}}\sum_{a=1}^{\infty}s_{a,id}\rho_{a,id}\sum_{m\neq i}\int_{\max\left\{R_{a,imd,\bar{t}},\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}\right\}}^{1}(\phi^q_{a,id,\bar{t}}(r,m))^{\frac{\sigma-1}{\sigma}}g_{id,\bar{t}}(r,m)dr\\
=&\nu^{\sigma}_{d,\bar{t}}\kappa^{1-\sigma}_{id,\bar{t}}\Gamma\left(1-\frac{\sigma-1}{\theta}\right)\left(\kappa_{id,\bar{t}-1}(\phi^U_{0,id,\bar{t}-1})^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\left(\frac{\theta}{\sigma-1}-1\right)\sum_{a=1}^{\infty}s_{a,id}\rho_{a,id}\\
&\times\sum_{m\neq i}\kappa^{-\theta}_{md,\bar{t}-1}(\phi^U_{0,md,\bar{t}-1})^{-\frac{\theta}{1-\sigma}}\int_{\max\left\{R_{a,imd,\bar{t}},\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}\right\}}^{1}(\phi^q_{a,id,\bar{t}}(r,m))^{\frac{\sigma-1}{\sigma}}\frac{1}{r}\left(r\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\Phi_{id}(r)^{\frac{\sigma-1}{\theta}-2}dr.\end{aligned}$$

This simplifies considerably when dividing by (30) to obtain the change. In particular,

$$\begin{aligned}\frac{X^{R2}_{id,\bar{t}}}{X_{id,\bar{t}-1}}=&\hat{\nu}^{\sigma}_{d,\bar{t}}\hat{\kappa}^{1-\sigma}_{id,\bar{t}}\frac{1}{\bar{\phi}^{\text{int}}_{id}}\left(\frac{\theta}{\sigma-1}-1\right)\sum_{a=1}^{\infty}s_{a,id}\rho_{a,id}\sum_{m\neq i}\frac{\kappa^{-\theta}_{md,\bar{t}-1}(\phi^U_{0,md,\bar{t}-1})^{-\frac{\theta}{1-\sigma}}}{\Phi_d}\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\\
&\times\int_{\max\left\{R_{a,imd,\bar{t}},\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}\right\}}^{1}(\phi^q_{a,id,\bar{t}}(r,m))^{\frac{\sigma-1}{\sigma}}r^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-2}dr\\
=&\hat{\nu}^{\sigma}_{d,\bar{t}}\hat{\kappa}^{1-\sigma}_{id,\bar{t}}\frac{1}{\bar{\phi}^{\text{int}}_{id}}\left(\frac{\theta}{\sigma-1}-1\right)\sum_{a=1}^{\infty}s_{a,id}\rho_{a,id}\sum_{m\neq i}\pi^{src}_{md}\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\\
&\times\int_{\max\left\{R_{a,imd,\bar{t}},\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}\right\}}^{1}(\phi^q_{a,id,\bar{t}}(r,m))^{\frac{\sigma-1}{\sigma}}r^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-2}dr.\end{aligned}\tag{41}$$

Recalling that $\Phi_{id}(r)/\Phi_d$ is given by (36) and does not depend on levels, we can see that this overall expression does not depend on levels.

Step 3: Derive expenditure in Region 3 and exogenous resets In Region 3, the new best origin is sufficiently better than the incumbent origin that the importer is willing to forgo their current supplier and switch immediately. This is characterized by the region $r \in [\hat{U}_{0,id,\bar{t}}/\hat{U}_{0,md,\bar{t}}, R_{imd,\bar{t}})$. Unlike Region 2, the contract itself does not vary with r, as once the switch happened the outside option is to stay in the new origin. However, the mass of Region 3 firms does depend on the distribution of r. We can re-use the z_i-expenditure-weighted density of r from Region 2 by substituting out $z_m^{\sigma-1}\, r_{id,t}(\omega)$ in favor of $z_i^{\sigma-1}$ by re-arranging the definition of $r_{id,\bar{t}}(\omega)$ (34) to obtain $\kappa_{md,\bar{t}}^{1-\sigma} z_m^{\sigma-1} = \kappa_{id,\bar{t}}^{1-\sigma} z_i^{\sigma-1} \phi_{0,id,\bar{t}}^U/(r\phi_{0,md,\bar{t}}^U)$. Expenditure is therefore given by

$$
\begin{aligned}
X_{i\to m,d,\bar{t}}^{R3} &= \nu_{d,\bar{t}}^{\sigma}\kappa_{id,\bar{t}}^{1-\sigma}\left(\frac{\phi_{0,id,\bar{t}}^U}{\phi_{0,md,\bar{t}}^U}\right)\rho_{0,md}(\phi_{0,md,\bar{t}}^q)^{\frac{\sigma-1}{\sigma}}\sum_{a=0}^{\infty}\tilde{s}_{a,id}\int_{\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}}^{R_{a,imd,\bar{t}}}\frac{1}{r}g_{id,\bar{t}}(r,m)dr \\
&= \nu_{d,\bar{t}}^{\sigma}\kappa_{id,\bar{t}}^{1-\sigma}\left(\frac{\phi_{0,id,\bar{t}}^U}{\phi_{0,md,\bar{t}}^U}\right)\rho_{0,md}(\phi_{0,md,\bar{t}}^q)^{\frac{\sigma-1}{\sigma}}\Gamma\left(1-\frac{\sigma-1}{\theta}\right)\left(\kappa_{id,\bar{t}-1}(\phi_{0,id,\bar{t}-1}^U)^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\left(\frac{\theta}{\sigma-1}-1\right) \\
&\quad\times\kappa_{md,\bar{t}-1}^{-\theta}(\phi_{0,md,\bar{t}-1}^U)^{-\frac{\theta}{1-\sigma}}\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\sum_{a=0}^{\infty}\tilde{s}_{a,id}\int_{\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}}^{R_{a,imd,\bar{t}}} r^{\frac{\theta}{\sigma-1}-2}\Phi_{id}(r)^{\frac{\sigma-1}{\theta}-2}dr,
\end{aligned}
$$

where $\tilde{s}_{a,id} = s_{0,id} - (1-\delta)$ for $a = 0$ and $\tilde{s}_{a,id} = s_{a,id}$ for $a \geq 1$. As we substituted in $z_i^{\sigma-1}$, to obtain all terms in hats we need to divide by $X_{id,\bar{t}-1}$. However, we can obtain the object of interest, $X_{i\to m,d,\bar{t}}^{R3}/X_{md,\bar{t}-1}$, as follows. Since total Region 3 inflows into an origin m are given by $X_{md,\bar{t}}^{R3} = \sum_{i\neq m} X_{i\to m,d,\bar{t}}^{R3}$, we can write

$$
\frac{X_{md,\bar{t}}^{R3}}{X_{md,\bar{t}-1}} = \sum_{i\neq m}\frac{X_{id,\bar{t}-1}}{X_{md,\bar{t}-1}}\frac{X_{i\to m,d,\bar{t}}^{R3}}{X_{id,\bar{t}-1}} = \sum_{i\neq m}\frac{\pi_{id,\bar{t}-1}}{\pi_{md,\bar{t}-1}}\frac{X_{i\to m,d,\bar{t}}^{R3}}{X_{id,\bar{t}-1}}. \tag{42}
$$

Then, following the same steps as in Region 2, we have

$$
\begin{aligned}
\frac{X_{md,\bar{t}}^{R3}}{X_{md,\bar{t}-1}} &= \sum_{i\neq m}\frac{\pi_{id,\bar{t}-1}}{\pi_{md,\bar{t}-1}}\hat{\nu}_{d,\bar{t}}^{\sigma}\hat{\kappa}_{id,\bar{t}}^{1-\sigma}\left(\frac{\phi_{0,id,\bar{t}}^U}{\phi_{0,md,\bar{t}}^U}\right)\rho_{0,md}\frac{1}{\bar{\phi}_{id}^{\text{int}}}(\phi_{0,md,\bar{t}}^q)^{\frac{\sigma-1}{\sigma}}\left(\frac{\theta}{\sigma-1}-1\right) \\
&\quad\times\pi_{md}^{src}\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\sum_{a=0}^{\infty}\tilde{s}_{a,id}\int_{\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}}^{R_{a,imd,\bar{t}}} r^{\frac{\theta}{\sigma-1}-2}\left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-2}dr \\
&= \hat{\nu}_{d,\bar{t}}^{\sigma}\hat{\kappa}_{md,\bar{t}}^{1-\sigma}\rho_{0,md}\frac{1}{\bar{\phi}_{md}^{\text{int}}}(\phi_{0,md,\bar{t}}^q)^{\frac{\sigma-1}{\sigma}}\left(\frac{\theta}{\sigma-1}-1\right) \\
&\quad\times\sum_{i\neq m}\pi_{id}^{src}\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}-1}\sum_{a=0}^{\infty}\tilde{s}_{a,id}\int_{\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}}^{R_{a,imd,\bar{t}}} r^{\frac{\theta}{\sigma-1}-2}\left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-2}dr.
\end{aligned} \tag{43}
$$

Moreover, we can obtain the integral in closed-form. Recall from (36) that $\Phi_{id}(r)/\Phi_d$ is given by $\sum_l \pi_{ld}^{src} \max\{1, (r\hat{U}_{0,ld,\bar{t}}/\hat{U}_{0,id,\bar{t}})^{\theta/(\sigma-1)}\}$. Thus, for a given origin l, define

$$\underline{r}_{lid} \equiv \frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,ld,\bar{t}}}, \tag{44}$$

as the lowest value of r for which the max expression takes the r branch (i.e., the kink point). Then, for an integration region $[L, U]$, let $\mathcal{K}_{id}(L, U)$ denote the ordered set consisting of the integration endpoints and all kink points, $\underline{r}_{lid}$, lying strictly between them. Formally, $\mathcal{K}_{id}(L, U) \equiv$ sort$(\{L, U\} \cup \{\underline{r}_{lid} : L < \underline{r}_{lid} < U\})$, with ordered elements

$$L = k_{id,0}(L, U) < k_{id,1}(L, U) < ... < k_{id,K_{id}(L,U)} = U. \tag{45}$$

This creates $K_{id}(L, U)$ subintervals:

$$[k_{id,0}, k_{id,1}], [k_{id,1}, k_{id,2}], ..., [k_{id,K_{id}(L,U)-1}, k_{id,K_{id}(L,U)}].$$

By construction, the max term never switches branch within any subinterval. For Region 3, we have

$$L = L_{imd}^{R3} \equiv \frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}, \qquad U = U_{a,imd}^{R3} \equiv R_{a,imd,\bar{t}}. \tag{46}$$

Then, write the elements themselves as $k_{a,imd,h}^{R3} \equiv k_{id,h}(L_{imd}^{R3}, U_{a,imd}^{R3})$ and $K_{a,imd}^{R3} \equiv K_{id}(L_{imd}^{R3}, U_{a,imd}^{R3})$.

For concreteness, consider a given subinterval, $[k_{a,imd,h}^{R3}, k_{a,imd,h+1}^{R3}]$. Some algebra shows that for $r \in [k_{a,imd,h}^{R3}, k_{a,imd,h+1}^{R3}]$,

$$\frac{d}{dr}\left[r^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1}\right] = \left(\frac{\theta}{\sigma-1}-1\right) r^{\frac{\theta}{\sigma-1}-2}\left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-2}\left[\sum_{l:\underline{r}_{lid} \geq k_{a,imd,h+1}^{R3}} \pi_{ld}^{src}\right]. \tag{47}$$

Substituting (47) into the integral term in (43) gives

$$\begin{aligned}
&\left(\frac{\theta}{\sigma-1}-1\right)\int_{k_{a,imd,h}^{R3}}^{k_{a,imd,h+1}^{R3}} r^{\frac{\theta}{\sigma-1}-2}\left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-2} dr \\
&\quad = \left[\sum_{l:\underline{r}_{lid} \geq k_{a,imd,h+1}^{R3}} \pi_{ld}^{src}\right]^{-1} \int_{k_{a,imd,h}^{R3}}^{k_{a,imd,h+1}^{R3}} \frac{d}{dr}\left[r^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1}\right] dr \\
&\quad = \left[\sum_{l:\underline{r}_{lid} \geq k_{a,imd,h+1}^{R3}} \pi_{ld}^{src}\right]^{-1} \left((k_{a,imd,h+1}^{R3})^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(k_{a,imd,h+1}^{R3})}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1} - (k_{a,imd,h}^{R3})^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(k_{a,im}^{R3}\right.\right.
\end{aligned}$$

Overall, then, substituting this back into (43) gives

$$\frac{X^{R3}_{md,\bar{t}}}{X_{md,\bar{t}-1}} = \hat{\nu}^{\sigma}_{d,\bar{t}}\hat{\kappa}^{1-\sigma}_{md,\bar{t}}\rho_{0,md}\frac{1}{\bar{\phi}^{\text{int}}_{md}}(\phi^{q}_{0,md,\bar{t}})^{\frac{\sigma-1}{\sigma}}\sum_{i\neq m}\pi^{src}_{id}\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}-1}\sum_{a=0}^{\infty}\tilde{s}_{a,id}\sum_{h=0}^{K^{R3}_{a,imd}-1}\left[\sum_{l:\underline{r}_{lid}\geq k^{R3}_{a,imd,h+1}}\pi^{src}_{ld}\right]^{-1}$$
$$\times\left((k^{R3}_{a,imd,h+1})^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(k^{R3}_{a,imd,h+1})}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1}-(k^{R3}_{a,imd,h})^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(k^{R3}_{a,imd,h})}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1}\right). \tag{48}$$

Step 4: Iterating forward and accounting We have now derived the expenditure within each region for the period of the shock, $\bar{t}$. Region 1 and Region 2 are legacy relationships in the sense that the contracts are renegotiated versions of pre-shock contracts, and both groups will decay towards zero as relationships break up over time. All other goods start with new contracts in the shock period, which have no dependence on pre-shock information. Thus, we can decompose total expenditure in a given period $t \geq \bar{t}$ as $X_{od,t} = X^{R1}_{od,t} + X^{R2}_{od,t} + X^{N}_{od,t}$.

We first extend the Region 1 and Region 2 formulas to be for a generic period $\bar{t}+j$ with $j \geq 0$. For Region 1, it is straightforward to extend (40) as follows:

$$\frac{X^{R1}_{id,\bar{t}+j}}{X_{id,\bar{t}-1}} = \hat{\nu}^{\sigma}_{d,\bar{t}+j}\hat{\kappa}^{1-\sigma}_{id,\bar{t}+j}\left(\frac{\sum_{a=1+j}^{\infty}s_{a,id}\rho_{a,id}(\phi^{q}_{a,id,\bar{t}}(1))^{\frac{\sigma-1}{\sigma}}}{\bar{\phi}^{\text{int}}_{id}}\right)\left(\sum_{m}\pi^{src}_{md}\max\left\{1,\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\right\}\right)^{\frac{\sigma-1}{\theta}-1},$$

where the utility ratio term inside the $\max$ does not increase with j because the terms correspond to the probability of being in Region 1, which is determined at $\bar{t}$. For Region 2, we can extend (**??**) as follows:

$$\frac{X^{R2}_{id,\bar{t}+j}}{X_{id,\bar{t}-1}} = \hat{\nu}^{\sigma}_{d,\bar{t}+j}\hat{\kappa}^{1-\sigma}_{id,\bar{t}+j}\frac{1}{\bar{\phi}^{\text{int}}_{id}}\left(\frac{\theta}{\sigma-1}-1\right)\sum_{a=1+j}^{\infty}s_{a,id}\rho_{a,id}\sum_{m\neq i}\pi^{src}_{md}\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}$$
$$\times\int_{\max\left\{R_{a-j,imd,\bar{t}},\frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}\right\}}^{1}(\phi^{q}_{a,id,\bar{t}}(r,m))^{\frac{\sigma-1}{\sigma}}r^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-2}dr,$$

where recall that $\phi^{q}_{a,id,\bar{t}}(r,m)$ refers to the quantity wedge in relationship age a in a contract signed (re-negotiated) in period $\bar{t}$ where the incumbent origin was i and when the ratio $r_{imd,\bar{t}}(\omega) = r$ in period $\bar{t}$ and the best origin at the date of signing was m.

Define the productivity-weighted mass of ω in an ordinary relationship of age a at time t as

$$G_{a,od,t} \equiv \frac{\mathbb{E}[z_o(\omega)^{\sigma-1}1\{\omega \text{ is in an ordinary relationship in } o \text{ of age } a \text{ at } t\}]}{\mathbb{E}[z_o(\omega)^{\sigma-1}1\{o \text{ is the incumbent origin for } \omega \text{ at } \bar{t}-1\}]}, \tag{49}$$

where "ordinary" means that the relationship was initiated on or after $\bar{t}$. Then, by construction,

ordinary-pool expenditure relative to steady state expenditure is

$$\frac{X^G_{od,\bar{t}+j}}{X_{od,\bar{t}-1}} = \hat{\nu}^{\sigma}_{d,\bar{t}+j}\hat{\kappa}^{1-\sigma}_{od,\bar{t}+j}\frac{1}{\bar{\phi}^{\text{int}}_{od}}\sum_{a=0}^{j}\rho_{a,od}\left(\phi^{q}_{a,od,\bar{t}+j-a}\right)^{\frac{\sigma-1}{\sigma}}G_{a,od,\bar{t}+j}. \tag{50}$$

We will compute $G_{a,od,t}$ recursively. $G_{a,od,t}$ evolves according to the following rule:

$$G_{a,od,t+1} = \begin{cases} G^{exo}_{0,od,t+1} + G^{G\to G}_{0,od,t+1} + G^{R1\to G}_{0,od,t+1} + G^{R2(FB)\to G}_{0,od,t+1} + G^{R2(remain)\to G}_{0,od,t+1} & \text{for } a = 0 \\ \delta\rho_{a-1,od}G_{a-1,od,t} & \text{for } a \geq 1, \end{cases} \tag{51}$$

where $G^{exo}_{0,od,t+1}$ is the mass flowing into o from relationships that broke up exogenously at the end of period t, $G^{G\to G}_{0,od,t+1}, G^{R1\to G}_{0,od,t+1}, G^{R2(FB)\to G}_{0,od,t+1}, G^{R2(remain)\to G}_{0,od,t+1}$ are the masses flowing into o from relationships that broke up through failure at the end of period t among ordinary relationships, Region 1 relationships, Region 2 relationships for whom o is the fallback, and Region 2 relationships for whom o is the incumbent, respectively.

To initialize $G_{a,od,t}$, note that for $t = \bar{t}$, $G_{a,od,t} = 0$ for $a \geq 1$, as all pre-existing relationships are in Region 1 or Region 2. We thus only need to initialize $G_{0,od,\bar{t}}$, which is given by Region 3, the exogenous breakups from $\bar{t}-1$, and the relationships that broke up through failure in $\bar{t}-1$ but remain in the incumbent origin (those that switched are included in Region 3), i.e., $G_{0,od,\bar{t}} = G^{R3}_{0,od,\bar{t}} + G^{exo}_{0,od,\bar{t}} + G^{R1-failure}_{0,od,\bar{t}}$. From (48), the Region 3 component is

$$G^{R3}_{0,od,\bar{t}} = \sum_{i\neq o}\pi^{src}_{id}\left(\frac{\hat{U}_{0,od,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}-1}\sum_{a=0}^{\infty}\tilde{s}_{a,id}\sum_{h=0}^{K^{R3}_{a,iod}-1}\left[\sum_{l:\underline{r}_{lid}\geq k^{R3}_{a,iod,h+1}}\pi^{src}_{ld}\right]^{-1}$$
$$\times\left((k^{R3}_{a,iod,h+1})^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(k^{R3}_{a,iod,h+1})}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1} - (k^{R3}_{a,iod,h})^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{id}(k^{R3}_{a,iod,h})}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1}\right).$$

The exogenous breakup component for a generic j is

$$G^{exo}_{0,od,\bar{t}+j} = (1-\delta)\left(\hat{\kappa}_{od,\bar{t}+j}(\hat{\phi}^{U}_{0,od,\bar{t}+j})^{\frac{1}{1-\sigma}}\right)^{\sigma-1-\theta}\left(\sum_{m}\pi^{src}_{md}\hat{\kappa}^{-\theta}_{md,\bar{t}+j}(\hat{\phi}^{U}_{0,md,\bar{t}+j})^{-\frac{\theta}{1-\sigma}}\right)^{\frac{\sigma-1}{\theta}-1}.$$

The failure-induced breakups component is

$$G^{R1-failure}_{0,od,\bar{t}} = (s_{0,od}-(1-\delta))\left(\sum_{m}\pi^{src}_{md}\max\left\{1,\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,od,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\right\}\right)^{\frac{\sigma-1}{\theta}-1}. \tag{52}$$

All the remains is to construct $G^{G\to G}_{0,od,t+1}, G^{R1\to G}_{0,od,t+1}, G^{R2\to G}_{0,od,t+1}$. As ordinary relationships that end

restart in the same origin, we have $G^{G\to G}_{0,od,t+1} = \delta \sum_{a=0}^{\infty}(1-\rho_{a,od})G_{a,od,t}$. For Region 1, we have

$$G^{R1\to G}_{0,od,\bar{t}+j+1} = \delta \left(\sum_m \pi^{src}_{md} \max\left\{1, \left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,od,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\right\}\right)^{\frac{\sigma-1}{\theta}-1} \sum_{a=1+j}^{\infty} s_{a,od}(1-\rho_{a,od}). \tag{53}$$

For Region 2, relationships with origin i that break up through failure either switch to the new-best origin m or remain with the incumbent origin (but with a new supplier), depending on which is better at the moment of the failure. This is determined by whether $r_{imd,t}(\omega) < 1$ in the period t where the decision is being made. Importantly, this is simply a function of hats relative to the $r_{imd,\bar{t}}(\omega)$, so we can define a cutoff

$$r^*_{imd,\bar{t}+j+1} \equiv \frac{\hat{U}_{0,md,\bar{t}+j+1}/\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,id,\bar{t}+j+1}/\hat{U}_{0,id,\bar{t}}}, \tag{54}$$

which has the property that the fallback m is chosen if $r < r^*_{imd,\bar{t}+j+1}$ and the incumbent i is chosen if $r \geq r^*_{imd,\bar{t}+j+1}$. For the goods with $r < r^*_{imd,\bar{t}+j+1}$, this is conceptually the same as Region 3 but applied to an age 0 relationship in a future period. So, following the same steps yields

$$\begin{aligned} G^{R2(FB)\to G}_{0,od,\bar{t}+j+1} = \delta \sum_{i\neq o} \pi^{src}_{id} \left(\frac{\hat{U}_{0,od,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}-1} \sum_{a=j+1}^{\infty} s_{a,id}(1-\rho_{a,id}) \\ \times \left(\frac{\theta}{\sigma-1}-1\right) \int_{\max\left\{R_{a-j,iod,\bar{t}}, \frac{\hat{U}_{0,id,\bar{t}}}{\hat{U}_{0,od,\bar{t}}}\right\}}^{\min\{1, r^*_{iod,\bar{t}+j+1}\}} r^{\frac{\theta}{\sigma-1}-2} \left(\frac{\Phi_{id}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-2} dr. \end{aligned}$$

As in the discussion of Region 3, we can obtain this integral in closed form. Define $L^{R2(FB)}_{a,iod,j} \equiv \max\{R_{a-j,iod,\bar{t}}, \hat{U}_{0,id,\bar{t}}/\hat{U}_{0,od,\bar{t}}\}$ and $U^{R2(FB)}_{iod,j} \equiv \min\{1, r^*_{iod,\bar{t}+j+1}\}$. Then, define the cutpoints $k^{R2(FB)}_{a,iod,j,h} \equiv k_{id,h}(L^{R2(FB)}_{a,iod,j}, U^{R2(FB)}_{iod,j})$ and total number of intervals $K^{R2(FB)}_{a,iod,j} \equiv K_{id}(L^{R2(FB)}_{a,iod,j}, U^{R2(FB)}_{iod,j})$. We then have

$$\begin{aligned} G^{R2(FB)\to G}_{0,od,\bar{t}+j+1} = \delta \sum_{i\neq o} \pi^{src}_{id} \left(\frac{\hat{U}_{0,od,\bar{t}}}{\hat{U}_{0,id,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}-1} \sum_{a=j+1}^{\infty} s_{a,id}(1-\rho_{a,id}) \sum_{h=0}^{K^{R2(FB)}_{a,iod,j}-1} \left[\sum_{l:\underline{r}_{lid}\geq k^{R2(FB)}_{a,iod,j,h+1}} \pi^{src}_{ld}\right]^{-1} \\ \times \left((k^{R2(FB)}_{a,iod,j,h+1})^{\frac{\theta}{\sigma-1}-1} \left(\frac{\Phi_{id}(k^{R2(FB)}_{a,iod,j,h+1})}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1} - (k^{R2(FB)}_{a,iod,j,h})^{\frac{\theta}{\sigma-1}-1} \left(\frac{\Phi_{id}(k^{R2(FB)}_{a,iod,j,h})}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1} \right), \end{aligned}$$

For the goods with $r \geq r^*_{imd,\bar{t}+j+1}$

$$G^{R2(remain)\to G}_{0,od,\bar{t}+j+1} = \delta\left(\frac{\theta}{\sigma-1}-1\right)\sum_{m\neq o}\pi^{src}_{md}\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,od,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\sum_{a=1+j}^{\infty}s_{a,od}(1-\rho_{a,od})$$
$$\times\int_{\max\left\{R_{a-j,omd,\bar{t}},\frac{\hat{U}_{0,od,\bar{t}}}{\hat{U}_{0,md,\bar{t}}},r^*_{omd,\bar{t}+j+1}\right\}}^{1} r^{\frac{\theta}{\sigma-1}-1}\left(\frac{\Phi_{od}(r)}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-2}dr.$$

The integral in this region is similarly available in closed form. Define $L^{R2(remain)}_{a,omd,j} \equiv \max\left\{R_{a-j,omd,\bar{t}}, \frac{\hat{U}_{0,od,\bar{t}}}{\hat{U}_{0,md,\bar{t}}}, r^*_{omd,}\right.$
Define the cutpoints $k^{R2(remain)}_{a,omd,j,h} \equiv k_{od,h}(L^{R2(remain)}_{a,omd,j},1)$ and number of intervals $K^{R2(remain)}_{a,omd,j} \equiv K_{od}(L^{R2(remain)}_{a,omd,j},1)$. As the exponent on the r term in the integral is different, some algebra gives

$$G^{R2(remain)\to G}_{0,od,\bar{t}+j+1} = \delta\sum_{m\neq o}\pi^{src}_{md}\left(\frac{\hat{U}_{0,md,\bar{t}}}{\hat{U}_{0,od,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\sum_{a=1+j}^{\infty}s_{a,od}(1-\rho_{a,od})\sum_{h=0}^{K^{R2(remain)}_{a,omd,j}-1}\left[\sum_{l:\underline{r}_{lod}\leq k^{R2(remain)}_{a,omd,j,h}}\pi^{src}_{ld}\left(\frac{\hat{U}_{0,ld,\bar{t}}}{\hat{U}_{0,od,\bar{t}}}\right)^{\frac{\theta}{\sigma-1}}\right]^{-}$$
$$\times\left(\left(\frac{\Phi_{od}(k^{R2(remain)}_{a,omd,j,h})}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1}-\left(\frac{\Phi_{od}(k^{R2(remain)}_{a,omd,j,h+1})}{\Phi_d}\right)^{\frac{\sigma-1}{\theta}-1}\right).$$

Overall, then, the relative change in expenditure is given by

$$\frac{X_{od,\bar{t}+j}}{X_{od,\bar{t}-1}} = \frac{X^{R1}_{od,\bar{t}+j}}{X_{od,\bar{t}-1}} + \frac{X^{R2}_{od,\bar{t}+j}}{X_{od,\bar{t}-1}} + \frac{X^{G}_{od,\bar{t}+j}}{X_{od,\bar{t}-1}}, \tag{55}$$

with $X^G_{od,\bar{t}+j}/X_{od,\bar{t}-1}$ computed from (50) and $G_{a,od,\bar{t}+j}$ computed from (51).